BERNSTEIN
SOCIETE GENERALE GROUP

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Japan Video Gaming

Japan Video Gaming: Acceptance is the first step to change?

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A year of extremes. 2026 has continued to be a frustrating year for our Japan Video Gaming coverage. While the companies we like continue to do well fundamentally, market flows dominated by AI capex spend and geopolitical omnishambles have continued to contribute to multiple compression… and investor sentiment bordering on resignation. This note represents our latest quarterly look at sector risk-reward, and a summary of our takeaways after a series of meetings with our coverage companies.

Capcom and Konami taking care of business. There's not a lot Capcom and Konami can do to turn themselves into bottlenecks in the AI capex build-out. Leaving that aside, both companies continue to execute strongly, and now trade on forward PE multiples meaningfully below long-term averages. Pragmata sales have exceeded targets built into Capcom's guidance for new game units in FY3/27E, and an MH Wilds expansion announcement now feels more likely than not. Konami confirmed very strong eFootball growth in April and May, which should signal a large Q1 beat. The debate on a post-World Cup monetisation pull-back will continue… but strong user growth and lower platform fees bodes well for outer year growth. The pair remain our top picks in the sector.

Even Square Enix has found a way to sound better. Catalog growth and Switch 2 version releases should help raise the floor for Square Enix earnings. Nintendo pointing to a willingless to add remake titles to the first-party cadence felt additive to hopes for a 2027 rebound (with Pokémon Wind & Waves already) confirmed. We remain somewhat concerned at how Bandai Namco plans to deliver on guidance for a jump in Digital profits in H2 FY3/27E… but Toy & Hobby growth should continue to deliver against conservative expectations. Nexon will go down as one of our bigger analytical errors of 2026… though even here range-low PE multiples and renewed cash returns should offer some support.

So you want AI ROI? A year ago, the debate across our Japan Video Gaming coverage focused on whether these companies might be too conservative to move quickly on AI adoption. Capcom now partners with Google on AI, and speaks of cutting 3-5k hours of human playtesting time to 72 hours, and 30,000 hours of autonomous AI testing hours a month. This in turn was said to be contributing to a busier release cadence which has benefited Capcom's mid-sized franchises. Other aspects of video gaming development where AI adoption has become commonplace across our coverage companies include concept and prototyping, localisation drafts, and the analysis of community feedback.

GTA VI a… clearing event? Our tracker of 28 listed video gaming companies globally pointed to 11.3% aggregate revenue growth in the March quarter, which implied c. 4-5% annualised growth against pre-Covid baselines. Consensus projections pointing to industry growth acceleration into the end of 2026 are heavily influenced by the long-awaited GTA VI launch. We've heard every kind of bull case for GTA VI launch sales in recent months. But we do wonder if Godot's arrival will represent a clearing event for our coverage companies in Japan, both because many of them have consciously avoided the holiday 2026 launch window… and in terms of investor flows within global video gaming.

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BERNSTEIN TICKER TABLE

			3 Jun 2026		TTM		Reported EPS			Reported P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2026A	2027E	2028E	2026A	2027E	2028E
7974.JP (Nintendo)	O	JPY	7,457.00	10,300	(80.6)%	JPY	364.51	**350.74**	**423.85**	20.5	21.3	17.6
OLD								350.56	423.69			
9766.JP (Konami)	O	JPY	19,885	26,800	(43.7)%	JPY	737.79	896.16	1,032.05	27.0	22.2	19.3
9697.JP (Capcom)	O	JPY	2,953.00	4,600.00	(75.2)%	JPY	130.50	**153.47**	**174.04**	22.6	19.2	17.0
OLD								154.02	174.61			
7832.JP (Bandai Namco)	M	JPY	3,722.00	**4,700.00**	(62.6)%	JPY	217.49	**206.36**	**223.90**	17.1	18.0	16.6
OLD				4,800.00				204.42	221.15			
3659.JP (Nexon)	O	JPY	2,342.50	**3,000.00**	(53.9)%	JPY	114.12	**156.63**	**146.09**	20.5	15.0	16.0
OLD				4,400.00				176.42	178.97			
9684.JP (Square Enix)	M	JPY	2,523.00	**2,550.00**	(60.3)%	JPY	82.08	**106.81**	**121.75**	30.7	23.6	20.7
OLD				2,300.00				106.65	110.31			
JPL			2,575.72									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

3659.JP base year is 2025;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

2026 continues to represent a challenging year for our Japan Video Gaming coverage. While companies we like, like Capcom and Konami continue to execute well, the flip side of inflows into AI capex beneficiaries has continued to drive valuation multiple de-rating across our coverage. We sympathize with the market's AI bullishness to a large extent, but our gaming coverage now includes several stocks that should compound earnings at double-digit percentages for many years… while trading on forward PE multiples that are materially below multi-year averages.

Capcom and Konami remain our top picks in the sector. We consider both steady compounders that have long growth runways, which now trade on range-low forward PE multiples. Both stocks look well set-up for Q1 beats, and we expect upcoming summer showcases to offer more clarity on their go-forward launch pipelines. Nintendo sentiment has also shown some tentative signs of at least stabilisation.

The changes to our Square Enix, Nexon, Bandai Namco price targets reflect updated earnings estimates, multiplied by unchanged FY+1 PE multiples.

VALUATION COMPS TABLE

EXHIBIT 1: **Japan Video Gaming: global valuation summary**

	Rating	Price target	Last price	Crncy	Market cap (US$mn)	PE FY3/27E	PE FY3/28E	PE FY3/29E	EV/sales FY3/27E	EV/sales FY3/28E	EV/sales FY3/29E
Japan Video Gaming											
Nintendo	O	10,300	7,372	JPY	59,366	19.5x	16.1x	14.3x	2.4x	2.1x	2.0x
Capcom	O	4,600	2,943	JPY	9,812	19.5x	17.3x	15.7x	5.1x	4.6x	4.2x
Bandai Namco	M	4,700	3,705	JPY	14,950	18.2x	16.8x	15.8x	1.6x	1.4x	1.4x
Konami	O	26,800	19,700	JPY	17,685	22.1x	19.2x	17.3x	4.3x	3.9x	3.6x
Square Enix	M	2,550	2,516	JPY	5,786	24.1x	21.1x	19.0x	2.1x	1.9x	1.7x
Sony	M	3,400	3,616	JPY	134,943	18.2x	17.4x	15.5x	1.6x	1.6x	1.5x
Nexon	O	3,000	2,331	JPY	11,560	19.3x	18.8x	18.5x	3.2x	3.1x	2.9x
Koei Tecmo			1,484	JPY	3,119	14.4x	13.6x	12.9x	5.2x	4.9x	4.5x
Sega Sammy			2,378	JPY	3,177	12.7x	10.8x	9.9x	1.0x	0.9x	0.9x
Kadokawa			3,290	JPY	3,066	47.2x	29.0x	28.3x	1.4x	1.3x	1.3x
China Video Gaming											
Tencent	O	780	466.40	HKD	542,490	13.8x	11.9x	10.3x	4.5x	3.9x	3.5x
NetEase	O	150	124.75	USD	79,606	13.7x	12.8x	12.1x	3.2x	3.0x	2.8x
Global Video Gaming											
EA			202.01	USD	50,654	23.4x	22.5x	20.7x	6.1x	6.0x	5.7x
Take Two			222.38	USD	41,289	56.9x	33.2x	22.1x	6.3x	5.0x	4.6x
Unity			30.77	USD	13,432	29.9x	23.3x	18.6x	6.5x	5.7x	5.0x
Roblox			45.00	USD	32,340	n.a.	n.a.	n.a.	4.6x	3.7x	3.1x
Ubisoft			5.50	EUR	861	n.a.	n.a.	n.a.	0.7x	0.8x	0.7x
Paradox			122.60	SEK	1,389	20.4x	18.4x	16.4x	5.4x	5.1x	4.7x
Embracer			69.50	SEK	1,706	20.4x	12.2x	9.0x	0.8x	0.8x	0.7x
CD Projekt			227.40	PLN	6,236	57.9x	16.0x	14.8x	25.6x	7.6x	7.5x

2026-2028E multiples shown for companies with December year ends.
Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

DETAILS

LIVING UNDER THE AI CAPEX SHADOW

This note represents our latest quarterly look at the Japan Video Gaming sector - taking stock of the latest high frequency data, and quarterly reporting across the industry. We've also taken into account full year FY3/27E guidance from the companies we cover, and thoughts following a series of meetings we recently hosted with our coverage companies in Japan.

At a high level, this continues to be a frustrating year for the sector, as flows in favor of AI capex beneficiaries have continued to weigh on multiples - even in the case of companies that are doing well, where we think Street estimates remain much too low. Sentiment among gaming-focused investors we speak with border on resignation, with discussions on exit valuation multiples still skewed towards further de-rating because of excitement elsewhere. It's been notable that the best days for our stocks have coincided with positioning unwinds elsewhere.

We're AI bulls at a high level, and it's hard to fault investors bidding up stocks on the basis of a generational capex build out, and price increases. A broader worldview dominated by geo-strategic competition, consumer repression, and capex-led growth argues against consumer-oriented sectors beyond video gaming. On the flip side, the companies themselves conitnue to execute well, and it does feel somewhat notable that some investors we speak with are starting to shift focus towards how to stick the landing on their AI capex investments.

It should eventually matter that the Japan Video Gaming sector is now home to a few stocks where multi-year double-digit earnings growth trajectories are now valued meaningfully below long-term average multiples. It should eventually matter that AI helps to accelerate video gaming development. The "when" remains a tricky question to answer, but the elastic band of positioning likely works in both directions when it does.

Capcom, Konami on sale - thoughts from meeting our coverage companies

Last week we spent several days in Japan, traveling with investors to visit our coverage companies. The takeaways from these meetings were helpful on several fronts. Stock-picking wise, Capcom and Konami continue to strike us as the clearest names in the sector, where fundamentals look solid both on the basis of near-term earnings set-ups, and medium-term growth trajectories. Both companies sounded confident, and in our view look set to comfortably clear Street expectations for FY3/27E earnings. Both stocks now trade on forward PE meaningfully below long-term averages… and (perhaps a quaint concept in the current environment) the sum of discounted future cash flows.

For Capcom, Pragmata sales were indicated to be ahead of plan versus what's embedded in Capcom's guidance for 12mn new units in FY3/27E. The company promised more information on the MH Wilds expansion title "over the summer" - we think launch will be in the company's typical February/March slot. Gold (including the base game) and Switch 2 editions for MH Wilds feel likely to us too. Konami confirmed the accuracy of very strong-looking Sensor Tower data in Q1. The debate around Konami's shares continues to focus partly on the post-World Cup monetisation pull back. But user growth within the game remains strong, and Konami stands to benefit meaningfully from lower platform fees in the next couple years - which the company indicated will fall mostly to operating profit.

Memory prices remain the obvious headwind for Nintendo and Sony. Nintendo in particular remains firmly stuck in the "memory losers" basket for many investors, and 2026 is now commonly described as a write-off (Sony's shares may be benefitting from excitement around the TSMC JV). But here too we think a stronger 2027 means asymmetry in the stock potentially starts to look interesting on a one-year view. In our meeting, Nintendo signaled a willingness to use remake titles to augment the first-party launch cadence, which sounded confirmatory of recent online chatter over the 2026-2027 line-up (e.g. Ocarina of Time remake), but also potentially opens up possibilities down the line.

On the flip side, our meetings left us with questions on how Bandai Namco might live up to its guidance for strong Digital profits in H2 FY3/27E. Dragon Ball Xenoverse 3 was confirmed by partners to be a FY3/28E title. Square Enix guidance sounded sensible for the most part, and growth in catalog sales raises the floor for the company's HD games segment. But the latest delay in Dragon Quest XII development felt indicative of the task facing management leading up to the next medium term plan. Nexon's H2 turnaround also felt like a work in progress, contingent on stabilisation in China… but forward valuation multiples have fallen to bargain-basement levels.

Encouraging feedback on AI gains in video gaming development - Capcom the poster child

A year ago, the debate on AI use in the Japan Video Gaming sector centred around whether the Japanese industry would be too conservative to adopt AI broadly, and therefore become an AI laggard. A year on, several of the companies we met with reported tangible progress. On our travels, Capcom offered the most concrete feedback on areas where AI adoption was already beginning to yield productivity gains. The company is a Google partner (remember when Project Genie was supposed to disrupt budget gaming?), and recently published an example where agentic AI was used to compress 3-5k hours of human playtesting time to 72 hours of compute. The company now runs 30,000 playtesting hours a month with AI help. Other areas where AI was described by our companies as having seen meaningful productivity uplifts included during the concept and prototyping stages, production workflows like localization drafts, the design and production of marketing creatives, and the analysis of community feedback.

Most of our coverage companies signalled an aversion to putting AI generated assets in-game, which is probably sensible in the context of the potential for online fan resistance. Putting a number on the financial value of AI gains remains a tricky endeavour. But hearing Capcom signal a greater capacity for new game releases beyond the big annual title (e.g. Pragmata, Onimusha this year) was encouraging evidence that productivity gains are beginning to show up in release capacity.

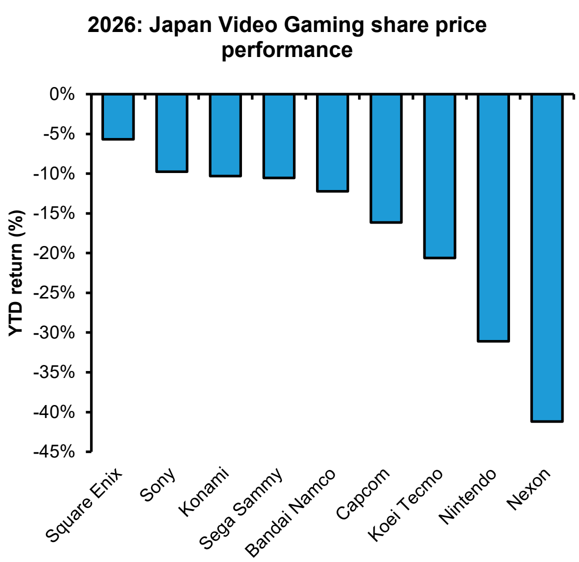
We remain of the view that video gaming will go from being perceived as “disrupted by AI” around Google’s Project Genie announcement to one of the hardest things for AI to displace - reflecting the complexity of video games as multimedia entertainment products, but also the fact only the 99.9th percentile product matters to investors.

The industry backdrop - could GTA VI be a clearing event?

Exhibit 4 shows our updated tracker of listed video gaming company revenues, while Exhibit 5 compares annualised industry growth with 2018-2019 baselines. On a year on year basis, our tracker of 28 companies pointed to 11.3% aggregate revenue growth. On a NTM basis, aggregate industry revenue is projected to grow 7.3% year on year. In our meetings with our coverage companies, GTA VI unsurprisingly came up repeatedly as a sink for gamer attention. From current valuation levels, though, we’re tempted to think that the GTA VI launch will serve as a clearing event for global gaming ex. Take-Two - including our Japan Video Gaming coverage.

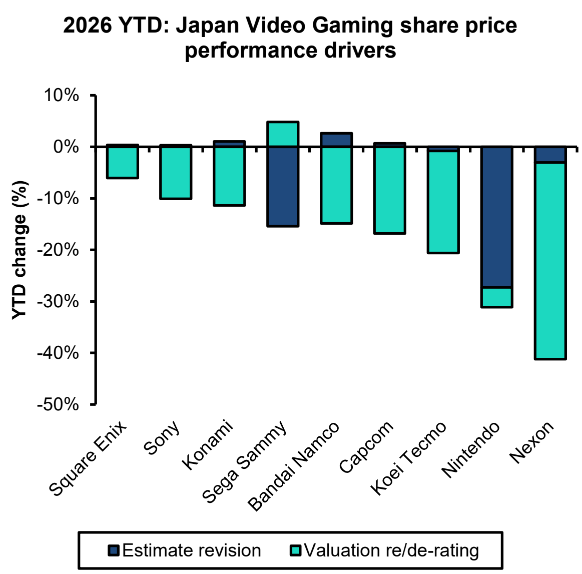
Exhibit 6 shows our latest tracker of new game releases across our Japanese coverage.

EXHIBIT 2: **The Japan Video Gaming sector has had a difficult start to 2026...**



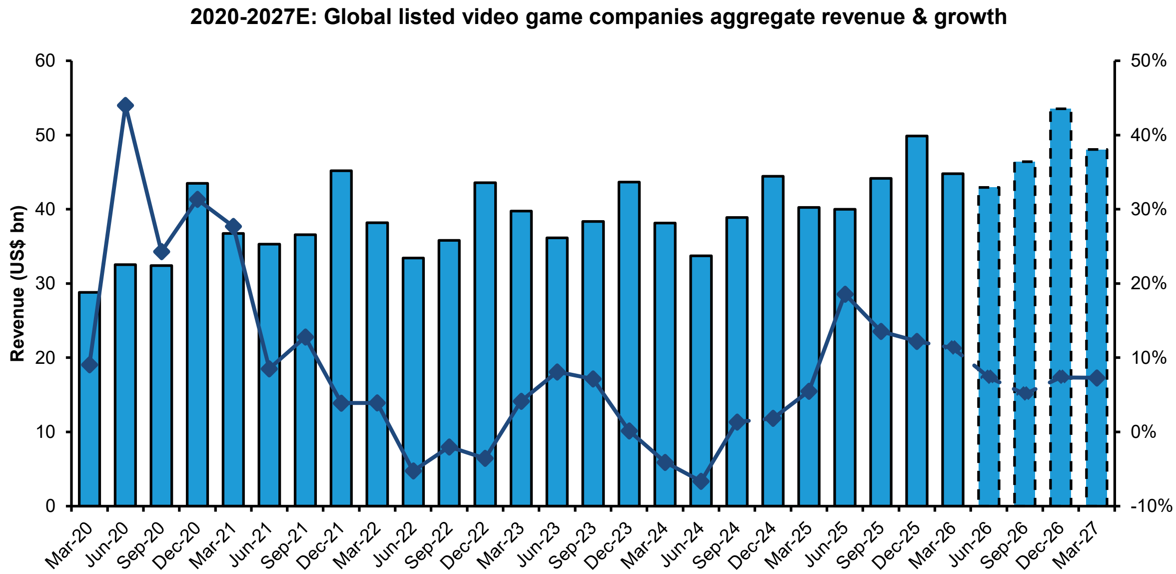
Source: Bloomberg and Bernstein analysis

EXHIBIT 3: **...with valuation de-rating representing a headwind more or less across the board**



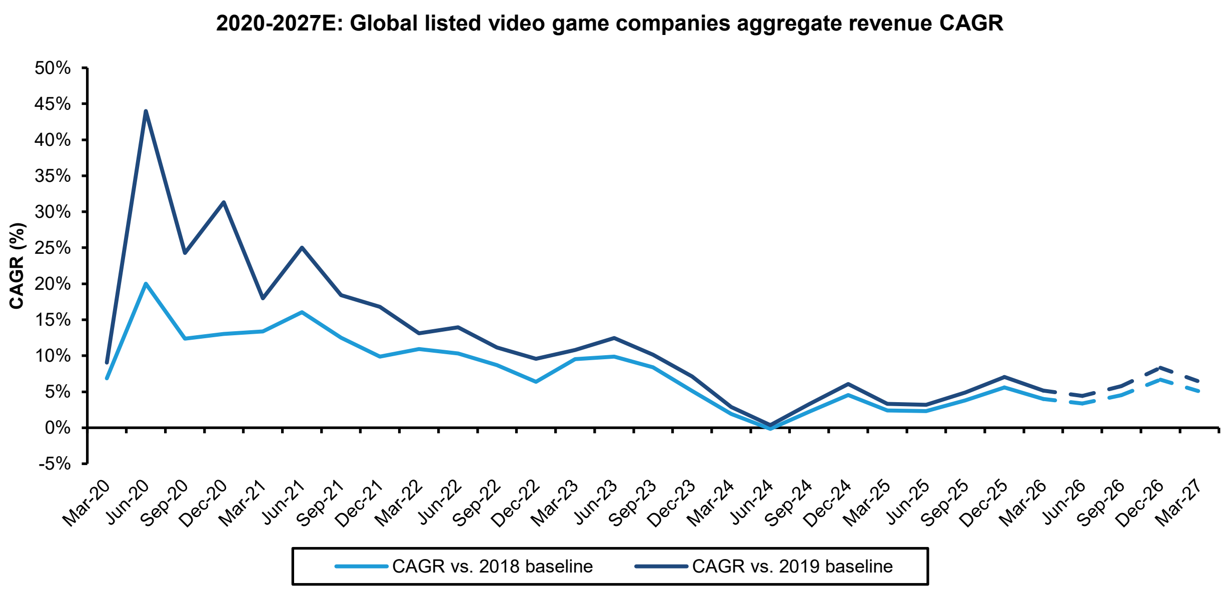
Source: Bloomberg and Bernstein analysis.

EXHIBIT 4: **Our tracker of the top global video gaming companies showed c. 11.3% industry revenue growth in the March quarter**



Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 5: **The last couple quarters have implied mid-single digit industry revenue CAGR compared with 2018-2019 baselines... consensus forecasts point to acceleration into late 2026, with GTA VI on deck**



Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 6: **We've updated our tracker of new launches, reflecting the PlayStation State of Play... the upcoming summer showcases should help to add clarity to new launch pipelines across our coverage companies**

		Platform					
Game title	**Developer**	**PS5**	**Xbox**	**Switch**	**PC**	**Mobile**	**Launch**
NINTENDO							
Star Fox	Nintendo			✓			Jun 25, 2026
Rhythm Heaven Groove	Nintendo			✓			Jul 2, 2026
Splatoon Raiders	Nintendo			✓			Jul 23, 2026
Fire Emblem: Fortune's Weave	Intelligent Systems			✓			2026
Pokemon Winds & Waves	**Game Freak**			✓			**2027**
CAPCOM							
Onimusha: Way of the Sword	**Capcom**	✓	✓		✓		**Sep 24, 2026**
Megaman: Dual Override	Capcom	✓	✓	✓	✓		2027
Monster Hunter Outlanders	Capcom					✓	TBD
BANDAI NAMCO							
Bleach Mirrors High	Bandai Namco					✓	Summer 2026
Captain Tsubasa 2: World Fighters	Tamsoft Corporation	✓	✓		✓		Aug 27, 2026
The Blood of Dawnwalker	**Rebel Wolves**	✓	✓		✓		**Sep 6, 2026**
Ace Combat 8: Wings of Theve	**Bandai Namco**	✓	✓		✓		**Oct 2, 2026**
Dragon Ball: Xenoverse 3	**Bandai Namco**	✓	✓		✓		**2027**
KONAMI							
eFootball Kick Off	Konami			✓			Jun 3, 2026
Power Pros 2026-2027	Konami	✓		✓			Jun 11, 2026
Goemon's Great Gatherin	Konami	✓		✓	✓		Jul 2, 2026
The Price of Tennis Remasters	Konami			✓	✓		Jul 30, 2026
Metal Gear Solid: Master Collection Vol. 2	Konami	✓	✓	✓	✓		Aug 27, 2026
Silent Hill: Townfall	**Screen Burn**	✓			✓		**Sep 24, 2026**
Castlevania: Belmont's Curse	**Konami**	✓	✓	✓	✓		**2026**
SQUARE ENIX							
The Adventures of Elliot: The Millennium Tales	**Square Enix**	✓	✓	✓	✓		**Jun 19, 2026**
Dragon Quest XII: Beyond Dreams	**Square Enix**	✓	✓	✓	✓		**TBD**
NEXON							
DNF: Idle RPG	**Nexon**					✓	**2026**
DNF Classic	**Nexon**				✓		**2027**
Nakwon: Last Paradise	Nexon	✓	✓		✓		2027
Woochi the Wayfarer	Nexon /Lore Vault	✓	✓		✓		2027
SONY FIRST PARTY							
Marvel's Wolverine	**Insomniac Games**	✓					**Sep 15, 2026**
God of War Laufey	**Santa Monica Studio**	✓					**TBD**

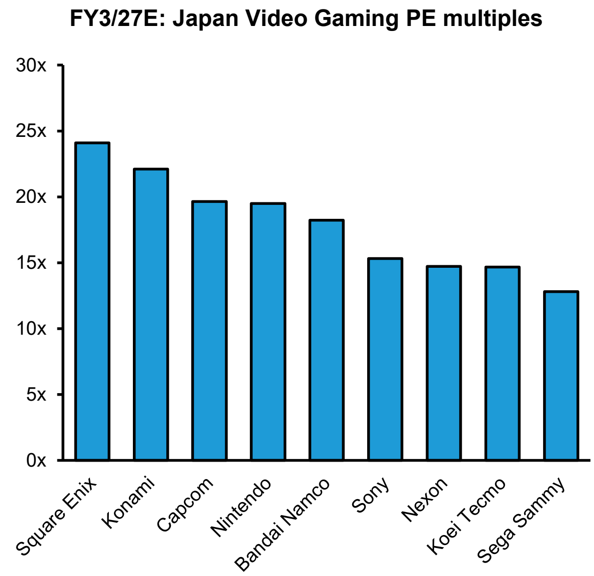
Source: Corporate reports and Bernstein analysis.

QUALITY ON SALE

If Japan Video Gaming sector valuations went from expensive across the board in the summer of 2025 to “okay" to start 2026, we’re now firmly in “below average” territory. The average stock we cover now trades on 19.7x FY3/27E and 17.7x FY3/28E PE, and 11.9x FY3/27E and 10.11x FY3/28E EV/EBIT, taking into account the impact of balance sheet cash (see Exhibit 7 to Exhibit 12).

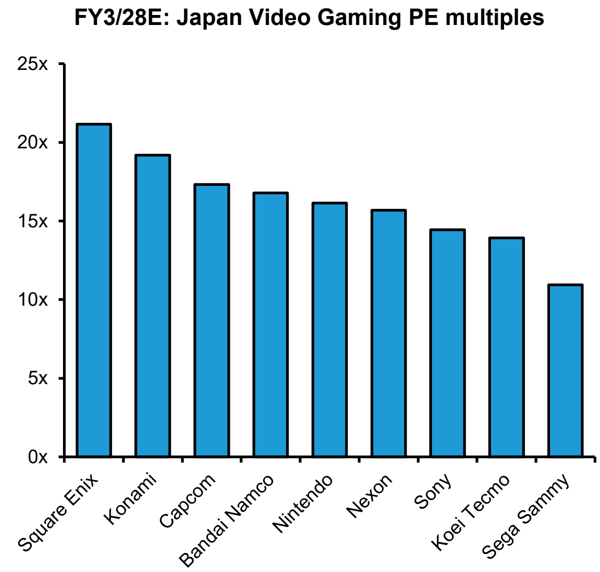
Our price targets are generally set on the basis of FY+1 (i.e. quarter 5-8) PE multiples, but it seems reasonable to expect valuation time frames to shift towards FY3/28E PE in the next six months or so.

EXHIBIT 7: **The Japan Video Gaming stocks we cover (ex. Sony) now trade on 19.7x FY3/27E PE...**



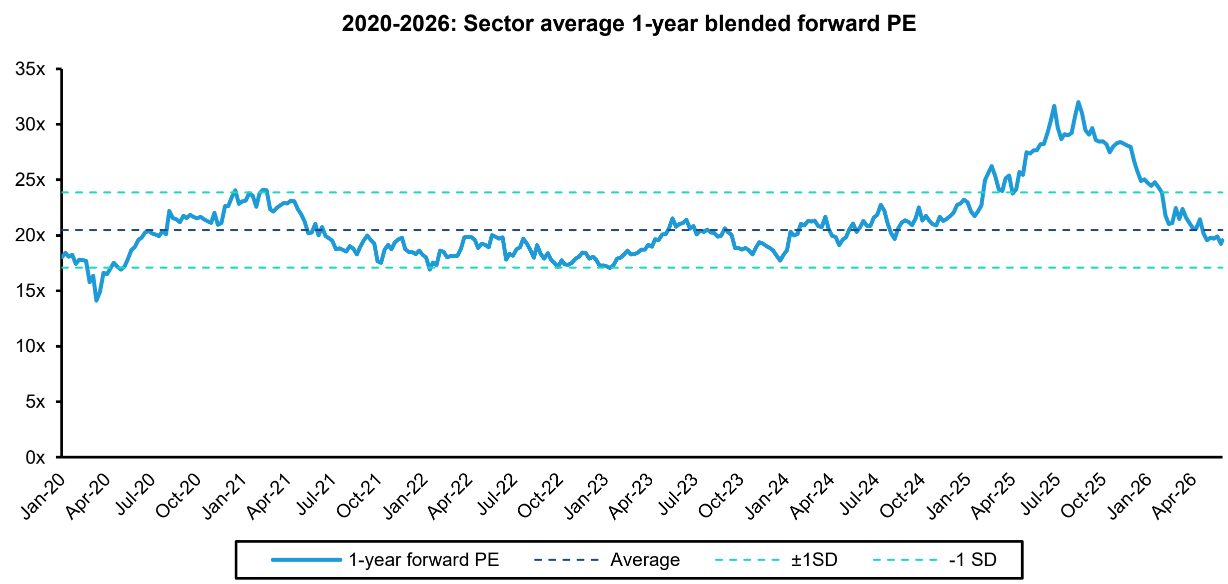
Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 8: **... and 17.7x FY3/28 P/E on our estimates, which we'd expect investors to focus more on over time**



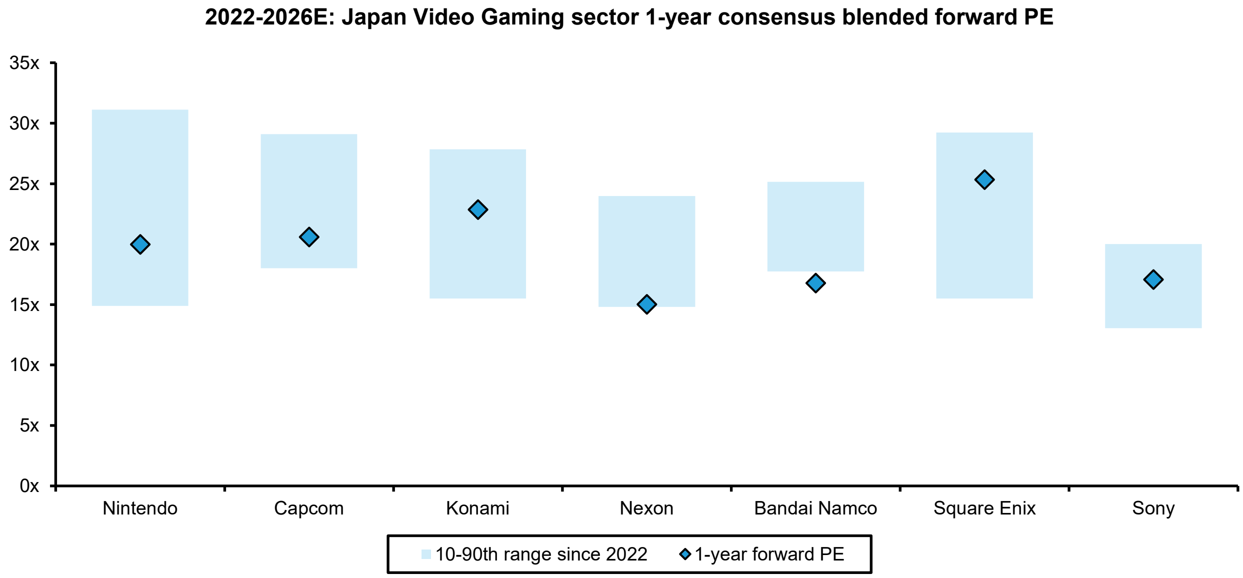
Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

EXHIBIT 9: **Japan Video Gaming sector 1-year forward PE now stands below average levels since 2020**



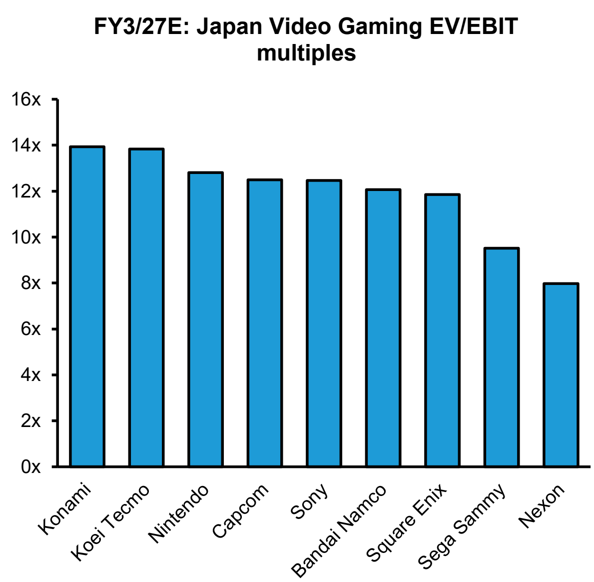
Source: Bloomberg and Bernstein analysis.

EXHIBIT 10: **Most Japan Video Gaming stocks now sit toward the lower half of their 10–90th percentile forward PE ranges**



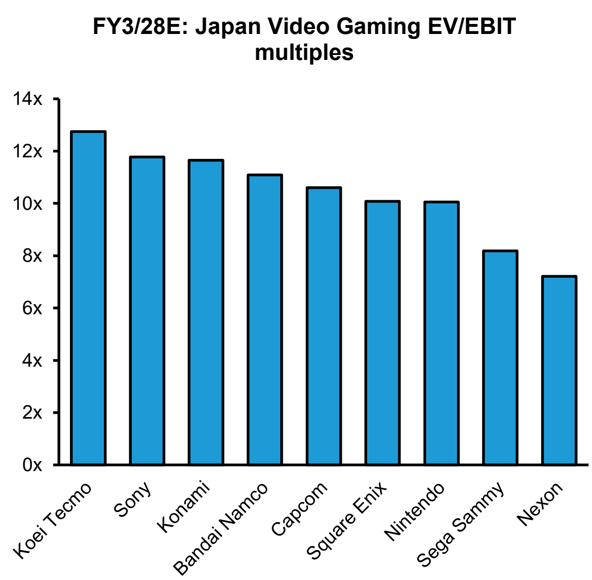
Source: Bloomberg and Bernstein analysis.

EXHIBIT 11: **Our coverage stocks now average 11.9x FY3/27 EV/EBIT...**



Source: Bloomberg and Bernstein analysis.

EXHIBIT 12: **... and 10.11x FY3/28 EV/EBIT, similarly cheap compared with history**



Source: Bloomberg and Bernstein analysis.

CAPCOM: STILL MAKING IT LOOK EASY

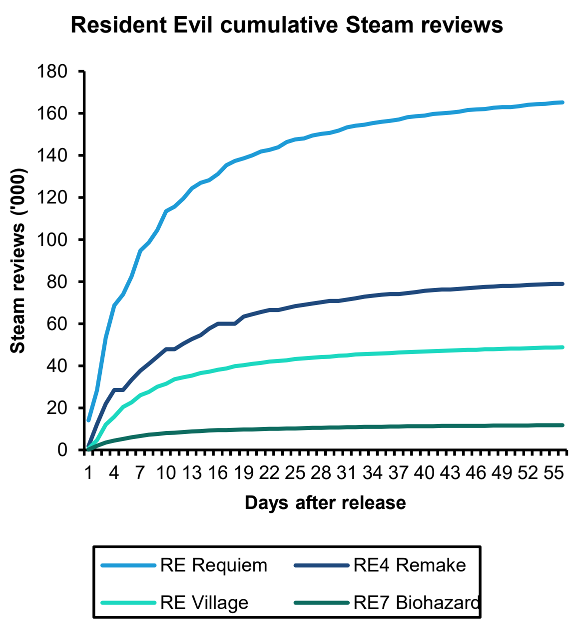
Our discussions with Capcom in Osaka yielded several interesting data points. Pragmata was confirmed to have exceeded internal targets baked into Capcom's 12mn new units guidance for FY3/27E. A reveal of the expansion title for MH Wilds now feels beyond question, following the company's promise of updates "over the summer". Management framed both their latest 10% operating profit growth goal (to JPY83bn) and use of 140 USD:JPY as intentionally conservative. We estimate Capcom's operating profit rises by just over 1% for every 1% of yen depreciation, and we'd expect the company to comfortably exceed its operating profit target even assuming a considerable front-loading of R&D spend.

Shorter term, the reversal of JPY9bn in revenue deferral will boost Q1 reporting, as will strong Pragmata sales… and ongoing strength in RE Requiem and other Resident Evil catalog titles through April and May. Our base case remains that the MH Wilds expansion game will fill its typical February/March slot. In addition to let's say a 30% attach rate on 12-13mn units of MH Wilds sold at that point, we expect a gold edition of the game - and expansion game bundles - to support Capcom's software units. Dataminers previously found Switch 2 code in one of the MH Wilds updates - a Switch 2 launch for the gold edition would make sense timing wise, and likely add another 300-500k units.

Thinking longer-term, we consider Capcom the most forward-thinking company in our Japan Video Gaming coverage, when it comes to addressing the AI question. The company's example of significant reductions to playtesting time was mentioned as part of its partnership with Google, and management cited gains in other parts of development, including concept, prototyping, and localisation. Encouragingly, the company pointed to the Pragmata and Onimusha launches this year as examples where expanded headcount and AI productivity gains had enabled a greater focus on the company's second tier of IP franchises.

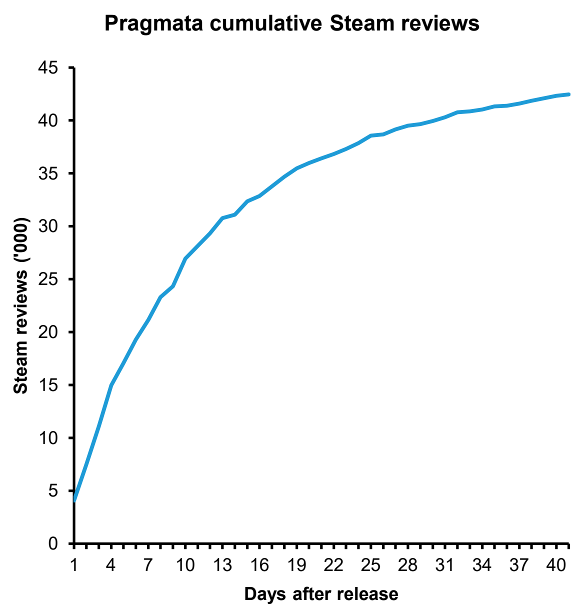
With this note we've made some minor adjustments to our Capcom estimates (see Exhibit 18).

EXHIBIT 13: **RE Requiem has continued to sell well, and drive Resident Evil catalog sales**



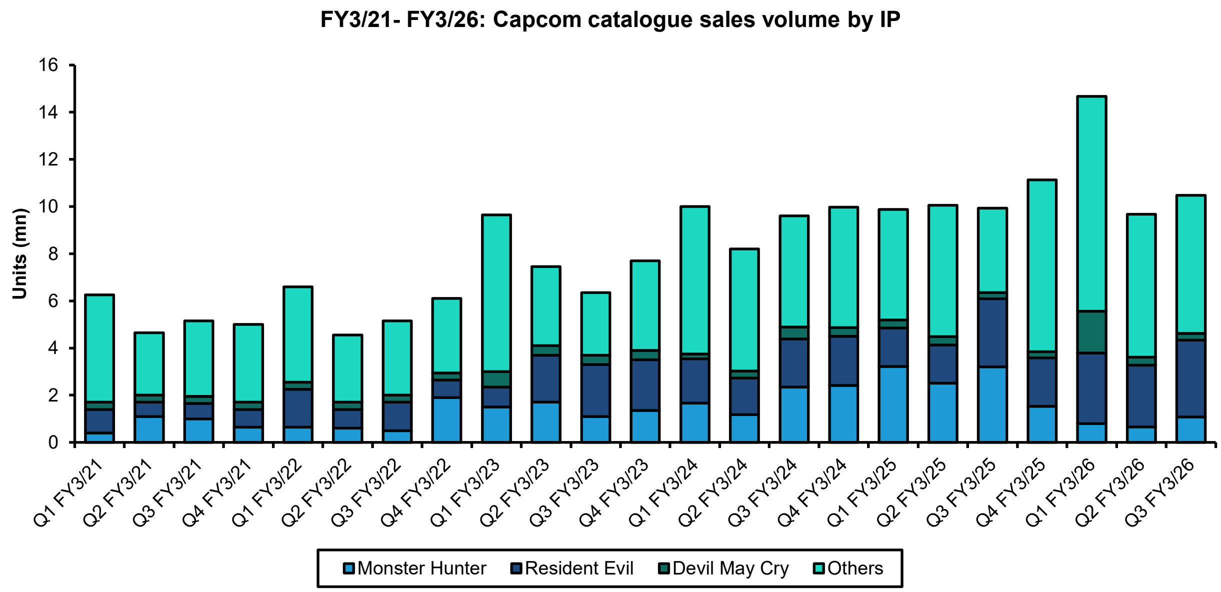
Source: SteamDB and Bernstein analysis.

EXHIBIT 14: **Pragmata was confirmed to have exceed sales targets baked into this year's new units guide**



Source: SteamDB and Bernstein analysis.

EXHIBIT 15: **With MH Wilds now fixed, and Capcom releasing several hits in a row, we expect the company's catalog growth to look strong in the coming quarters**



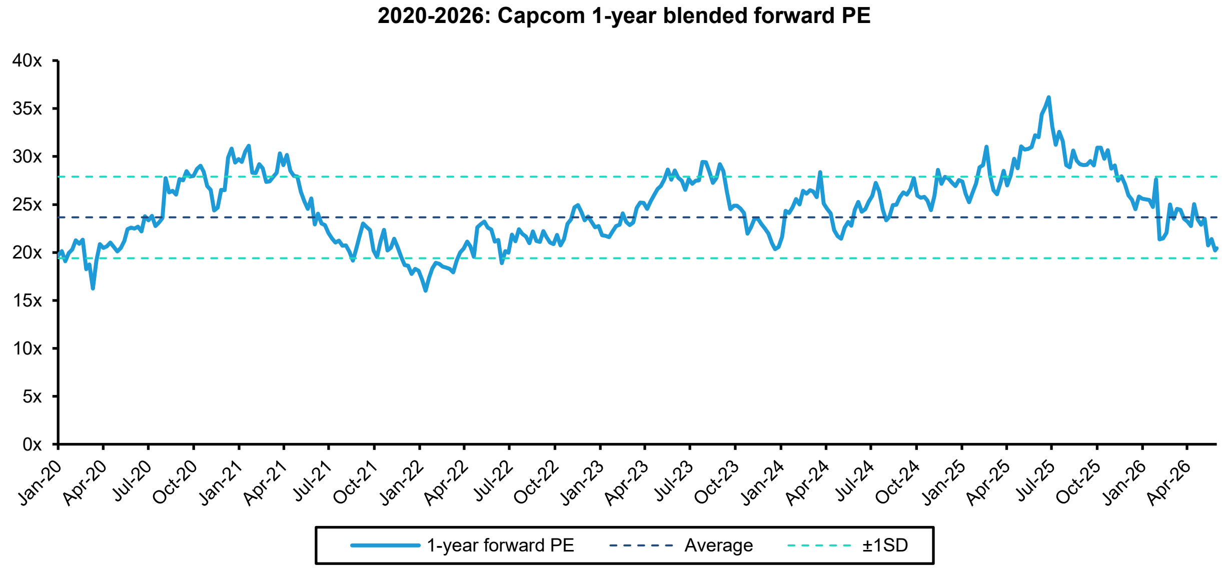
Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 16: **We expect the MH Wilds expansion to be announced during summer showcase season**

	Resident Evil - originals	Resident Evil - remakes	Monster Hunter	Other franchises
FY3/17	**RE 7: Biohazard** Jan 2017			
FY3/18			**MH World** Jan 2018	
FY3/19		**RE 2 Remake** Jan 2019		**Devil May Cry 5** May 2019
FY3/20			**MH World: Iceborne** Sep 2019	
FY3/21		**RE 3 Remake** Apr 2020	**MH Rise** Mar 2021	
FY3/22	**RE Village** May 2021		**MH Stories 2: Wings of Ruin** Jul 2021	
FY3/23		**RE 4 Remake** Mar 2023	**MH Rise: Sunbreak** Jun 2022	
FY3/24				**Street Fighter 6** Jun 2023 **Dragon Dogma II** Mar 2024
FY3/25			**MH Wilds** Feb 2025	
FY3/26	**RE Requiem** Feb 2026		**MH Stories 3: Twisted Reflection** Mar 2026	**Pragamata** Apr 2026
FY3/27E			**MH Wilds: Expansion?**	**Onimusha: Way of the Sword** Sep 2026
FY3/28E		**RE Code Veronica?**		

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 17: **Capcom's forward PE multiple now stands close to one standard deviation below long-term mean**



Source: Corporate reports, Bloomberg, and Bernstein analysis.

EXHIBIT 18: **Capcom: Summary of estimate changes**

Summary of estimate changes	FY3/27E	FY3/28E	FY3/29E
Revenue (JPY bn)			
Bernstein - old	**208**	**225**	**242**
Growth YoY	14.0%	8.1%	7.7%
Bernstein - new	**210**	**226**	**236**
Growth YoY	7.5%	7.6%	4.6%
Consensus	**209**	**229**	**250**
Growth YoY	12.9%	9.4%	9.2%
Bernstein new vs. old	**0.9%**	**0.5%**	**-2.4%**
Bernstein new vs. consensus	**0.3%**	**-1.3%**	**-5.5%**
Operating profit (JPY bn)			
Bernstein - old	**86**	**98**	**110**
Growth YoY	16.5%	13.5%	12.5%
Margin	41.3%	43.4%	45.3%
Bernstein - new	**86**	**97**	**107**
Growth YoY	13.7%	13.6%	10.2%
Margin	40.8%	43.0%	45.3%
Consensus	**87**	**96**	**108**
Growth YoY	11.9%	11.3%	12.6%
Margin	41.3%	42.1%	43.4%
Bernstein new vs. old	**-0.4%**	**-0.3%**	**-2.3%**
Bernstein new vs. consensus	**-1.1%**	**0.9%**	**-1.2%**
EPS (JPY)			
Bernstein - old	**154**	**175**	**196**
Growth YoY	20.4%	13.4%	12.3%
Bernstein - new	**153**	**174**	**192**
Growth YoY	17.6%	13.4%	10.1%
Consensus	**146**	**165**	**187**
Growth YoY	11.9%	12.8%	13.0%
Bernstein new vs. old	**-0.4%**	**-0.3%**	**-2.3%**
Bernstein new vs. consensus	**4.9%**	**5.5%**	**2.8%**

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

KONAMI: GROWTH EXTENDS BEYOND THE WORLD CUP

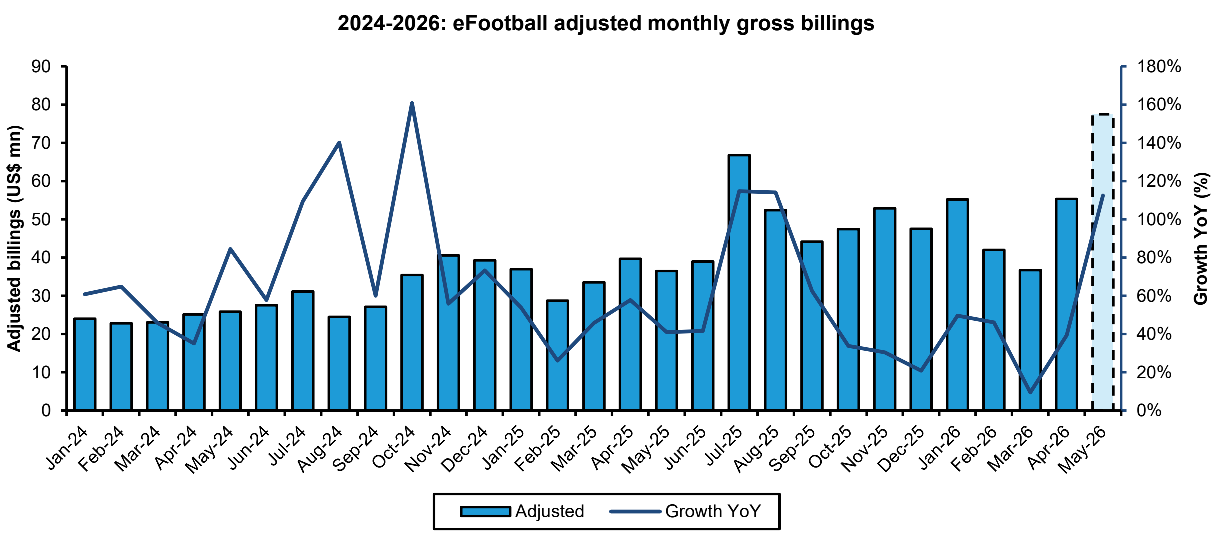
In our minds, Konami also fits into the category of a quality name with obvious catalysts that's been hurt by AI-related outflows. Q1 earnings should significantly exceed street estimates, with eFootball billings jumping month on month in both April and May, and expected to continue to rise sequentially in June and July. The recent Naruto and 1bn downloads campaigns were said to have contributed 10-20% to recent incremental growth, but recent strength was described as not yet related to World Cup excitement (see Exhibit 19).

World Cup billings aside, our most recent discussions with Konami pointed to off platform monetisation having started across 20-30 countries in addition to Japan. Initial traction was said to have largely aligned with Konami's home market, and further progress should continue to contribute to eFootball operating margins... versus the low-50% range at present. Across the business, we expect platform fees to fall from high-20% to low-20% in the next two years, which Konami indicated will mostly fall to operating profit. The latest Sensor Tower data points to robust weekly eFootball billings trends - assuming a similar absolute bump in World Cup engagement over the next couple months (e.g. far smaller proportionate to the overall game than in 2022) would imply large beats to Q1 and potentially Q2 expectations. In contrast with the 2022 Qatar World Cup, we're hopeful a longer tournament featuring 48 teams will prolong the period of eFootball billings strength this year.

A period of slower eFootball monetization is probably likely in the back half of 2026. On the other hand, new user growth within eFootball has remained strong across both mobile and PC/console (see Exhibit 21 and Exhibit 22). The expansion of the upcoming World Cup to 48 teams should help to engender greater interest in football video games in new markets. The feedback we've heard also pointed to stronger growth than we'd previously anticipated in Yu-Gi-Oh! cards, and a solid cadence of single-title games (e.g. annual Silent Hill or MGS releases) going forward on top of the usual diet of Power Pros and Momotetsu games.

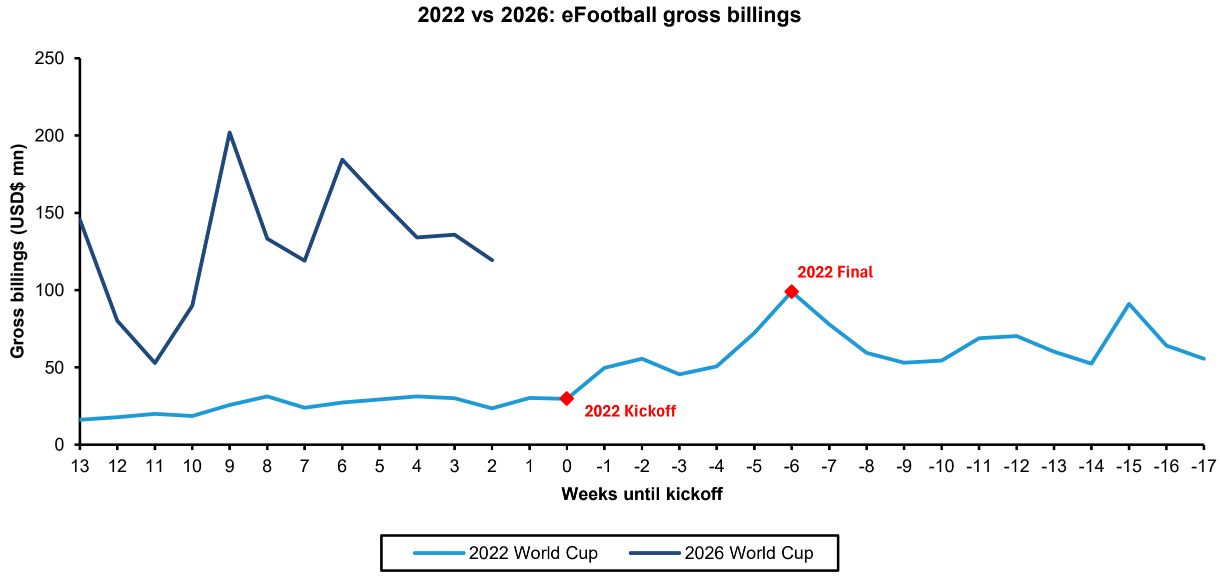
From a starting point of c. 22x FY3/28E PE, we'd argue Konami's shares already reflect a healthy degree of caution around longer term growth, and think go-forward risk-reward looks positive (see Exhibit 23).

EXHIBIT 19: **Konami's Q1 is setting up to look far stronger than Street expectations, with eFootball monthly revenues growing sharply even before World Cup excitement really takes off**



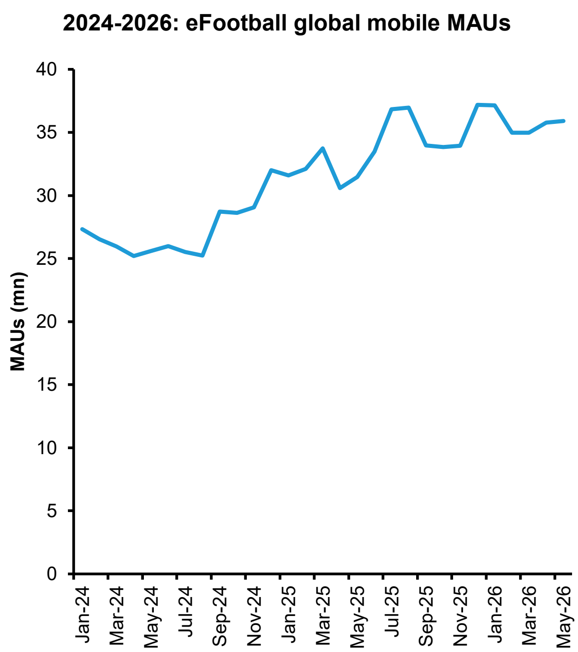
Source: Sensor Tower, Bernstein estimates and analysis.

EXHIBIT 20: **eFootball is now a much larger game than in 2022, but even assuming a similar absolute World Cup (e.g. much smaller in percentage terms) implies significant beats to Q1 and potentially Q2 expectations**



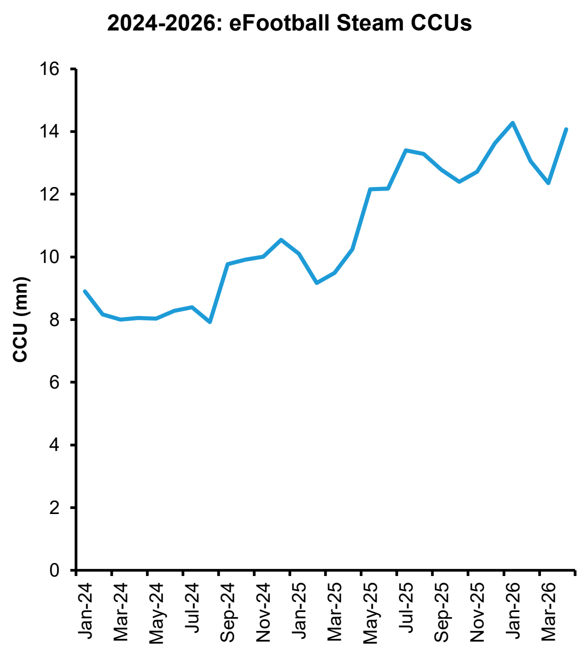
Source: Corporate reports and Bernstein analysis.

EXHIBIT 21: **Sensor Tower data likely understates eFootball mobile MAUs...**



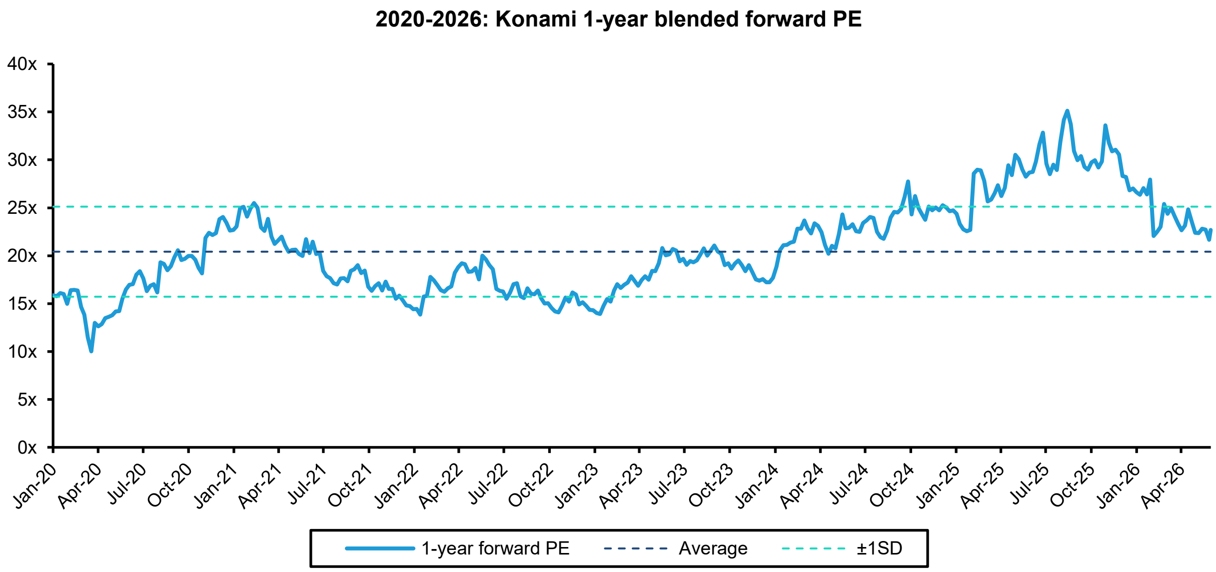
Source: Sensor Tower and Bernstein analysis.

EXHIBIT 22: **...while PC/console billings growth was said to have matched mobile in recent months**



Source: SteamDB and Bernstein analysis.

EXHIBIT 23: **Konami's forward PE multiple has fallen a long way from last summer's highs, and risk-reward looks favourable in our view**



Source: Corporate reports, Bloomberg, and Bernstein analysis.

NINTENDO: A STRONGER 2027?

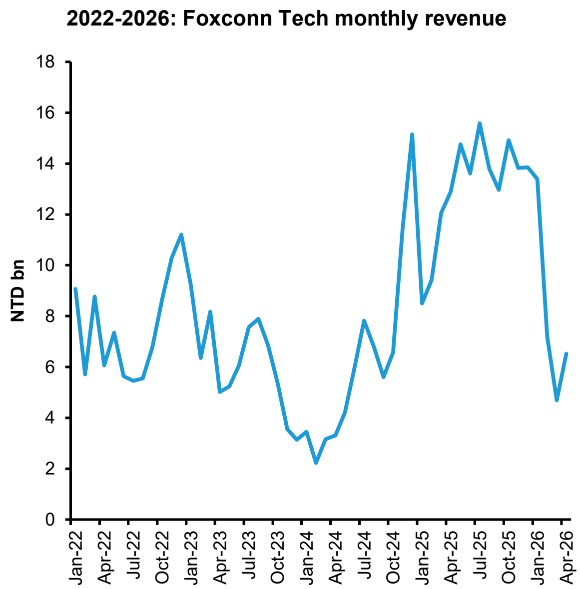
The memory prices question remains an overhang for Nintendo's shares, but our Kyoto visit yielded several incremental data points which felt, in aggregate, helpful for go-forward growth visibility. On production rates, Nintendo acknowledged the incentive to produce ahead of sell-in, to take advantage of better than feared memory pricing in FY3/27E. Guidance that hardware gross profit will remain flattish year on year this year reflected Nintendo's $50 of price increases, but also pricing negotiations which started relatively early on, and a tariff burden that's most likely no worse year on year. Our base case remains for incremental memory price headwind in FY3/28E, but for the next few quarters guidance that spot price volatility will not cause the JPY100bn of cost headwind guidance to change felt encouraging on the margin.

On the software front, the company acknowledged facing longer game development cycles on its largest AAA titles, and using B-franchise titles as a way to populate the launch cadence. Interestingly, the company confirmed an openness to using remake titles to augment the first-party launch line-up, which felt supportive of ongoing fan speculation over a Zelda title this year. Marketing spend was guided lower this year versus FY3/26, on account of the non-repeat of live events related to the Switch 2 launch. Investors we speak with remain focused on Nintendo's hardware margin, and the likelihood of further incremental hardware cost headwinds. But a software line-up featuring Pokémon Wind & Waves (and finally 3D Mario??) would probably make the next $50 price increases more palatable, if the need arose.

On Nintendo's guidance, we think it's worth clarifying that the 60mn units of Switch 2 software guided for FY3/27E excludes Switch games bought by Switch 2 owners for their new devices (we think Nintendo made a mistake not classifying these as Switch 2 games, which has led to unnecessary confusion)… or bundle units like the recent Pokopia bundle. Nintendo's 105mn unit guide for Switch software sales this year was confirmed to have included a greater volume of sales on Switch 2 devices than last year.

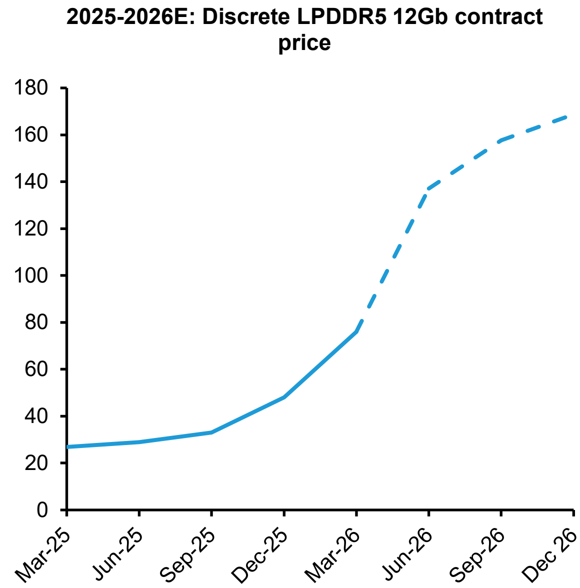
With this note we've made adjustments to our Nintendo estimates (see Exhibit 27 and Exhibit 28).

EXHIBIT 24: **We expect assembler output to pick up in the next few months, as Nintendo produces ahead of sell-in**



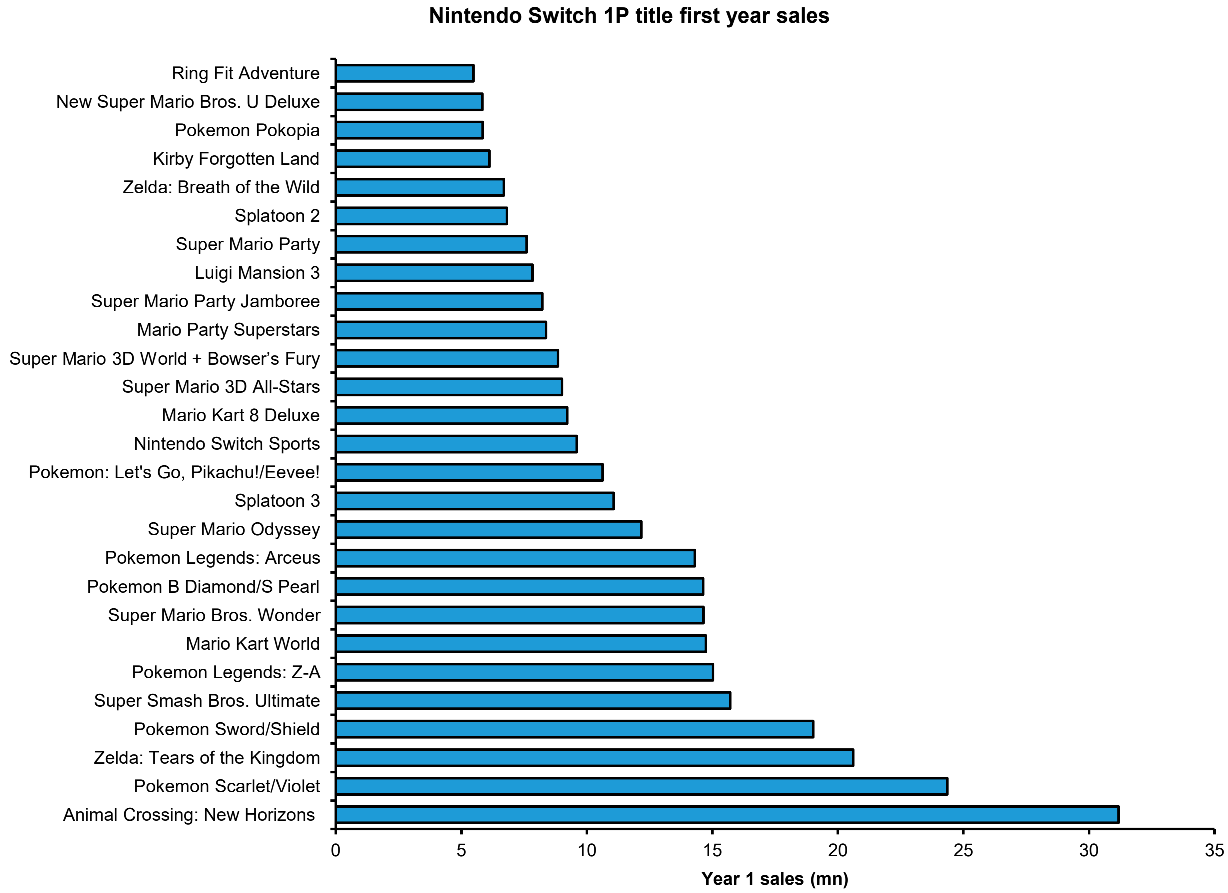
Source: Corporate reports and Bernstein analysis.

EXHIBIT 25: **We've assumed an incremental memory cost headwind for Nintendo in FY3/28, but...**



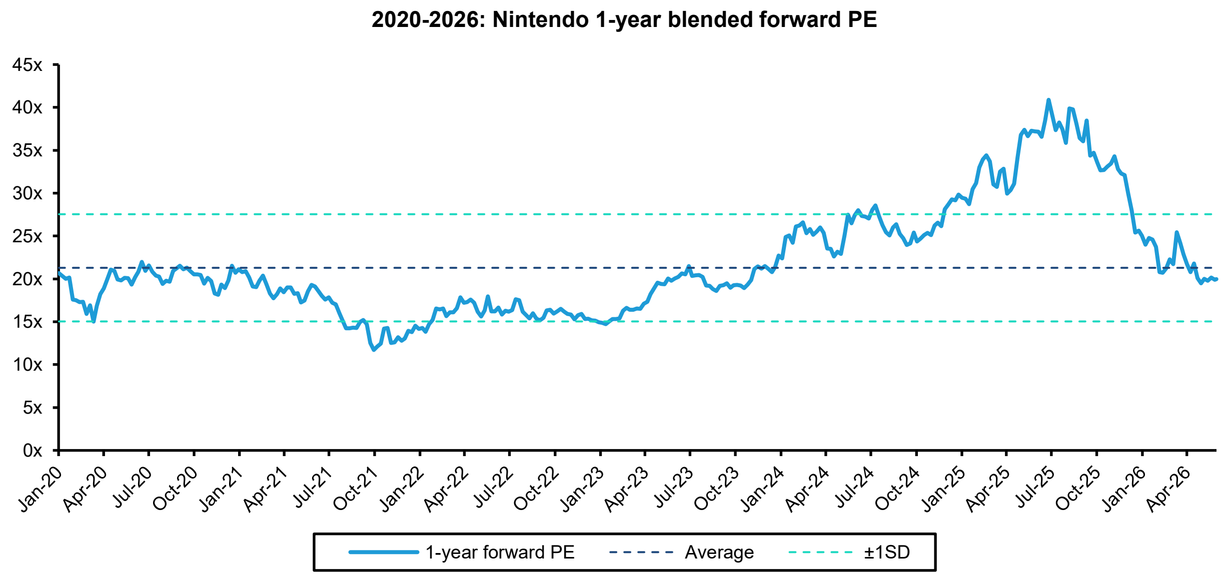
Source: TrendForce and Bernstein analysis.

EXHIBIT 26: **...a stronger 2027 line-up, with Pokemon Wind & Waves confirmed, should help the company to better manage the impact year on year; the company's openness to remake titles was interesting to note**



Source: Corporate reports and Bernstein analysis.

EXHIBIT 27: **Nintendo's forward PE multiples are now back near long-term averages, while earnings estimates have fallen to reflect the rise in memory prices**



Source: Corporate reports, Bloomberg, and Bernstein analysis.

EXHIBIT 28: **Nintendo: Summary of estimate changes**

Nintendo: summary of estimate changes	FY3/27E	FY3/28E	FY3/29E
Revenue (JPY bn)			
Bernstein - Old	**2,661**	**2,972**	**2,918**
Growth YoY	16.4%	11.7%	-1.8%
Bernstein - New	**2,333**	**2,576**	**2,693**
Growth YoY	2.0%	10.4%	4.5%
Consensus	**2,341**	**2,566**	**2,596**
Growth YoY	0.5%	9.6%	1.2%
New vs. old	**-12.3%**	**-13.3%**	**-7.7%**
Bernstein vs. consensus	**-0.4%**	**0.4%**	**3.7%**
Operating profit (JPY bn)			
Bernstein - Old	**427**	**545**	**596**
Growth YoY	14.4%	27.8%	9.4%
Margin	16.0%	18.3%	20.4%
Bernstein - New	**437**	**547**	**627**
Growth YoY	17.1%	25.3%	14.5%
Margin	18.7%	21.2%	23.3%
Consensus	**435**	**537**	**616**
Growth YoY	12.1%	23.2%	14.8%
Margin	18.6%	20.9%	23.7%
New vs. old	**2.4%**	**0.4%**	**5.1%**
Bernstein vs. consensus	**0.3%**	**2.0%**	**1.7%**
EPS (JPY)			
Bernstein - Old	**351**	**424**	**459**
Growth YoY	-5.7%	20.9%	8.4%
Bernstein - New	**351**	**424**	**479**
Growth YoY	-3.8%	20.8%	13.1%
Consensus	**348**	**417**	**454**
Growth YoY	-1.9%	19.9%	8.7%
New vs. old	**0.1%**	**0.0%**	**4.4%**
Bernstein vs. consensus	**0.7%**	**1.5%**	**5.6%**

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

NEXON: MEA CULPA... BUT CASH IS NOW 45% OF MARKET CAP

With the benefit of hindsight, we badly misjudged the durability of Arc Raiders as an ongoing contributor to earnings. 2025 was a rebound year, helped by both MapleStory recovery in Korea, and new game launch successes like Mabinogi Mobile.

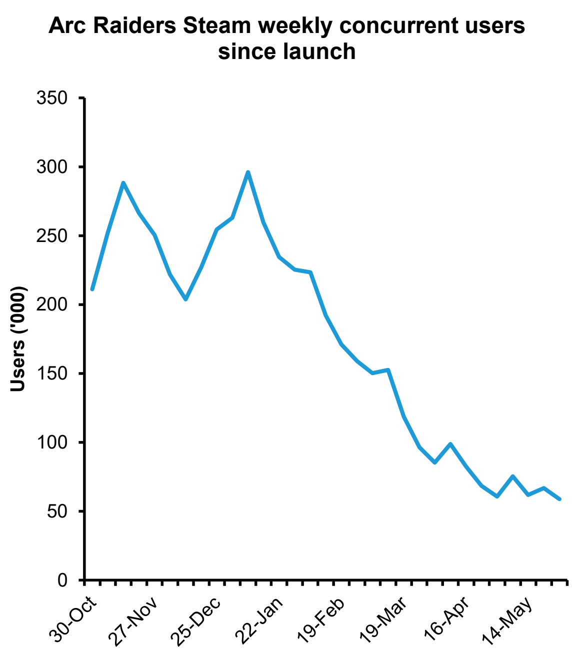
Looking at the past four quarters ended March, Nexon reported JPY140bn of operating profit, which we think breaks down into c. JPY25-30bn of Arc Raiders (somewhat influenced by the company's deferral of Q1 billings), JPY90bn from China revenue share (on which the main offsetting costs relate to a few hundred people at Neople, we've assumed a 90% gross margin), and JPY 25bn to everything else. Estimated on the same basis, the "everything else" generated a JPY24bn aggregate operating loss in 2024, and JPY25bn of profit in 2025.

Nexon expenses R&D, which means the incremental contribution from new game launches drops more or less straight to operating profit. With the company signaling a barren H2 2026 (which means operating profits decline in Q3, before a very low Q4 comp), the next set of meaningful new launches will need to be DNF Idle RPG (launching in Korea in Q4) and DNF Classic. MapleStory Idle RPG showed the idle game formula can work with Nexon's key IP. In our discussions, Nexon management talked up the outlook for Nakwon, due for launch in 2027. In the interim, however, the direction of DNF in China has continued to trend worse than we'd hoped for. PC at least shows stable visitation - the hope is that the summer and National Day updates do better than the most recent one in April. But DNF Mobile continues to lose ground, on the evidence of DAU and time spent trends. The company's change of tone on marketing spend this year (indicated flat year on year during the company's CMD, now expected to rise to reflect MapleStory Idle RPG spend) also leaves us with mixed feelings.

The question that remains is… now what? The stock has fallen a long way year to date, and expectations are now very low. Assuming say JPY80bn of China contribution next year, and a modest level of new launch success besides implies something like JPY110-120bn of operating profit, which drops down to JPY110 or so of (floor?) EPS. One can of course debate whether 20x or 17-18x floor EPS represents real margin of safety… though the last two times Nexon traded on current multiples on the basis of consensus forward PE multiples marked local minima for the stock. Cash now represents 45% of Nexon's market cap… assuming the company reinstates a JPY100bn buyback (on top of JPY30bn already announced, and JPY35bn of dividends) implies 7% annualized capital return yield.

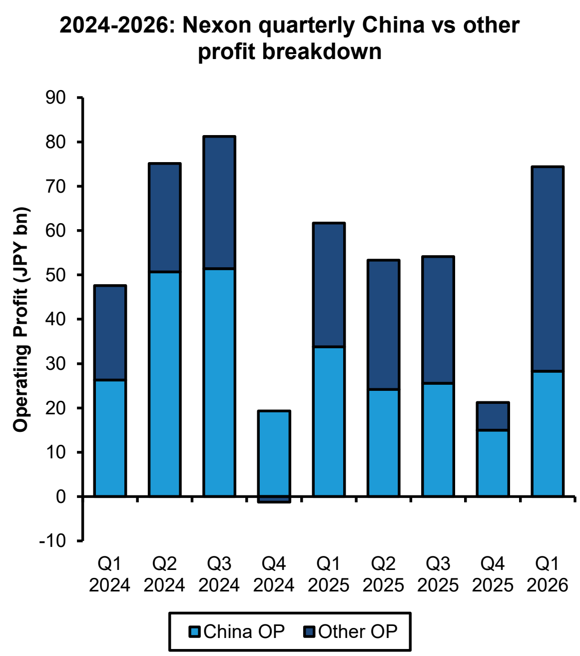
Exhibit 35 shows a summary of our estimate changes for Nexon. Our latest price target for the company is based on 20x FY+1 PE compared with materially lowered earnings estimates.

EXHIBIT 29: **Arc Raiders concurrent users have trended down steadily since launch peak**



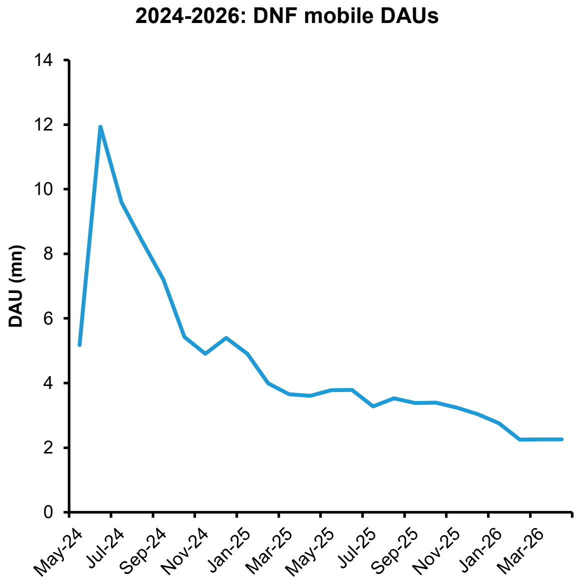
Source: SteamDB and Bernstein analysis.

EXHIBIT 30: **China operating profit steps down as ex-China contribution becomes larger gradually**



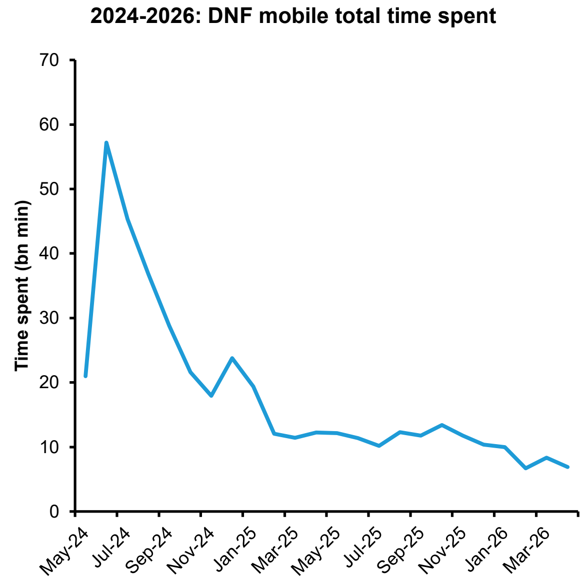
Source: Corporate reports and Bernstein analysis.

EXHIBIT 31: **DNF mobile DAUs have fallen sharply from launch and continue to drift lower**



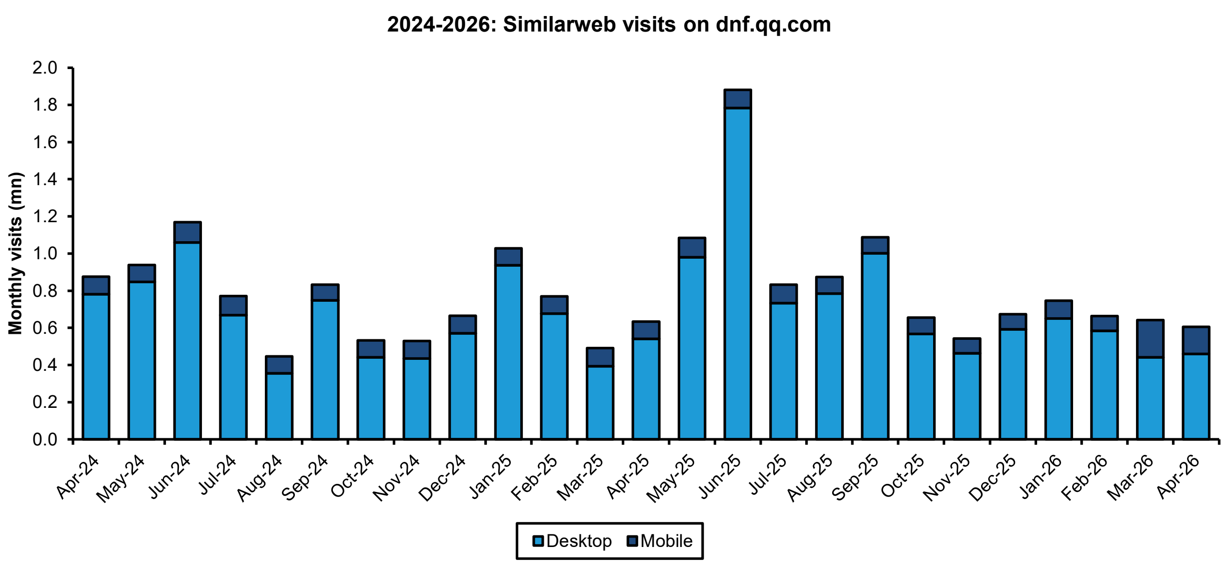
Source: QuestMobile and Bernstein analysis.

EXHIBIT 32: **DNF mobile total time spent mirrors DAU declines, settling at much lower levels**



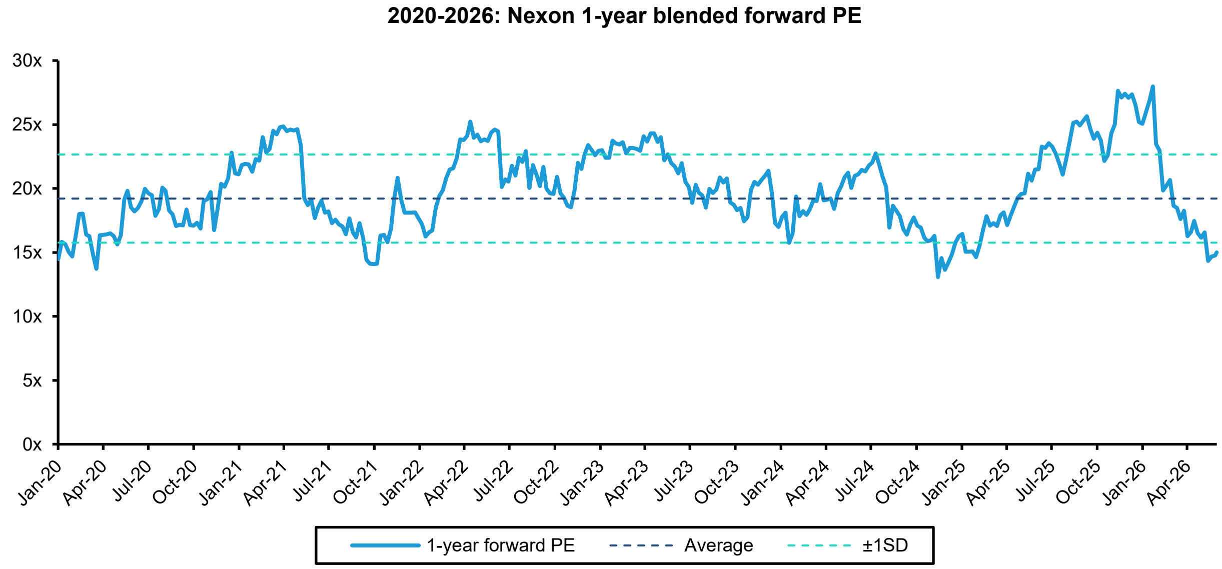
Source: QuestMobile and Bernstein analysis.

EXHIBIT 33: **Similarweb visits to dnf.qq.com are volatile but broadly flat after the mid-2025 spike**



Source: Similarweb and Bernstein analysis.

EXHIBIT 34: **Nexon's surprise accounting change in Q4 drove a large reset of the company's go-forward PE multiple**



Source: Corporate reports, Bloomberg, and Bernstein analysis.

EXHIBIT 35: **Nexon: Summary of estimate changes**

Summary of estimate changes	2026E	2027E	2028E
Revenue			
Bernstein - Old	**559**	**538**	**546**
Growth YoY	9.8%	-3.8%	1.6%
Bernstein - New	**485**	**493**	**502**
Growth YoY	2.2%	1.6%	1.7%
Consensus	**524**	**536**	**554**
Growth YoY	7.5%	2.2%	3.5%
New vs. old	**-13.2%**	**-8.3%**	**-8.2%**
New vs. consensus	**-7.4%**	**-7.9%**	**-9.5%**
Non-GAAP operating income			
Bernstein - Old	**165**	**167**	**171**
Growth YoY	4.2%	1.6%	2.1%
Margin	29.4%	31.1%	31.3%
Bernstein - New	**125**	**127**	**126**
Growth YoY	0.6%	1.5%	-0.2%
Margin	25.7%	25.7%	25.2%
Consensus	**149**	**153**	**159**
Growth YoY	-0.8%	3.0%	3.8%
Margin	28.4%	28.6%	28.7%
New vs. old	**-24.3%**	**-24.3%**	**-26.0%**
New vs. consensus	**-16.2%**	**-17.4%**	**-20.6%**
EPS(JPY)			
Bernstein - Old	**176**	**179**	**182**
Growth YoY	11.6%	1.4%	1.8%
Bernstein - New	**157**	**146**	**146**
Growth YoY	37.3%	-6.7%	0.0%
Consensus	**151**	**154**	**166**
Growth YoY	8.0%	2.1%	7.7%
New vs. old	**-11.2%**	**-18.4%**	**-19.9%**
New vs. consensus	**4.0%**	**-5.0%**	**-11.8%**

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

SQUARE ENIX: CATALOG SALES GROWTH SUPPORTS PROFITS

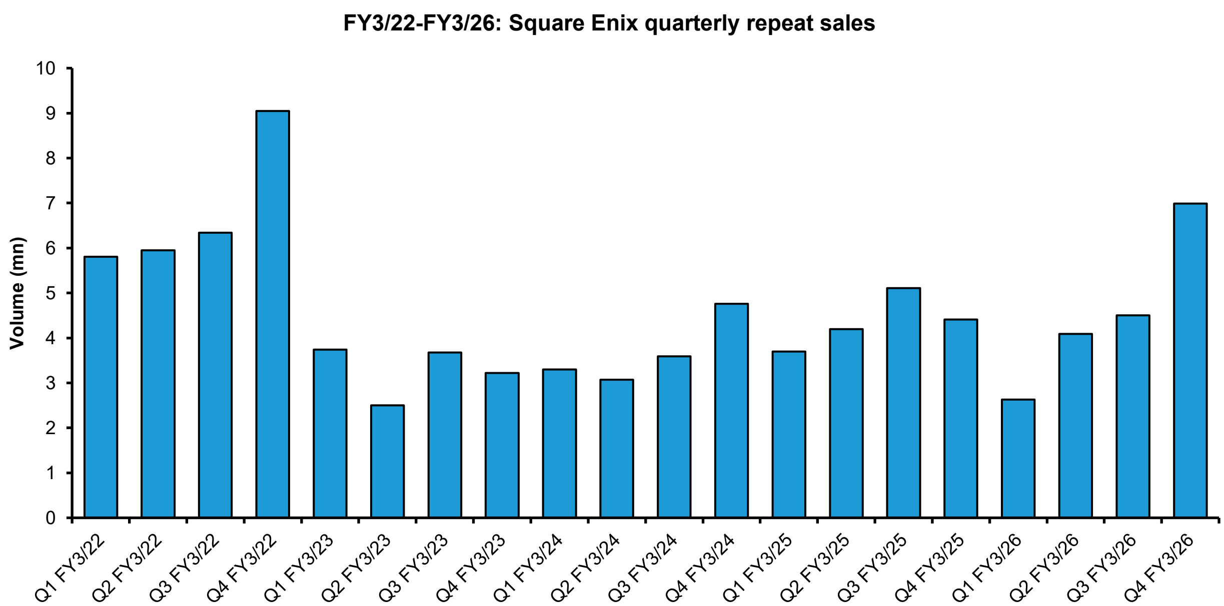
We still struggle to be especially constructive on Square Enix's shares, trading on one of the highest forward PE multiples across the sector. The highly-anticipated Dragon Quest XII announcement turning out to be another delay in development felt emblematic of the task facing management to restore the company to a reliable new game launch cadence. That said, for the first time in a while our meeting with Square Enix left us with a sense of progress.

Looking back, the company framed FY3/25 and FY3/26 as years focused on domestic then overseas reorganisation, while organizational upheaval was described as less likely in FY3/27E. Catalog sales should continue to grow, supported by Square Enix putting a wide range of existing games on Switch 2 (see Exhibit 36). The guidance for lower operating profit this year was explained through the lens of non-repeating Final Fantasy x MTG royalties, but described as intentionally conservative. The Evercold expansion for Final Fantasy XIV lands in January 2027 and will therefore only contribute partly to this financial year, but higher MMO revenue year on year should also help to add a sense of stability to the company (see Exhibit 38 and Exhibit 37).

Questions will continue to be asked about Square Enix's ability to launch new games profitably, starting with two mobile games this year, and The Adventures of Elliott in June. But the company's content production account has been cut down to size in recent years, including from a JPY7bn impairment in Q4, which reduces the risk of large losses when the company releases more major titles in FY3/28E and beyond.

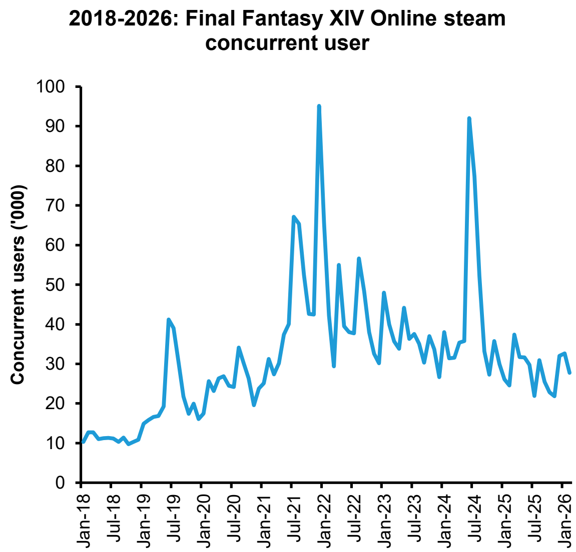
With this note we've made some minor adjustments to our Square Enix estimates (see Exhibit 39 and Exhibit 40).

EXHIBIT 36: **Higher repeat sales and cost savings continue to support a higher floor for Square Enix profits... continued growth in FY3/27E feels likely given the company's release of various Switch 2 edition games**



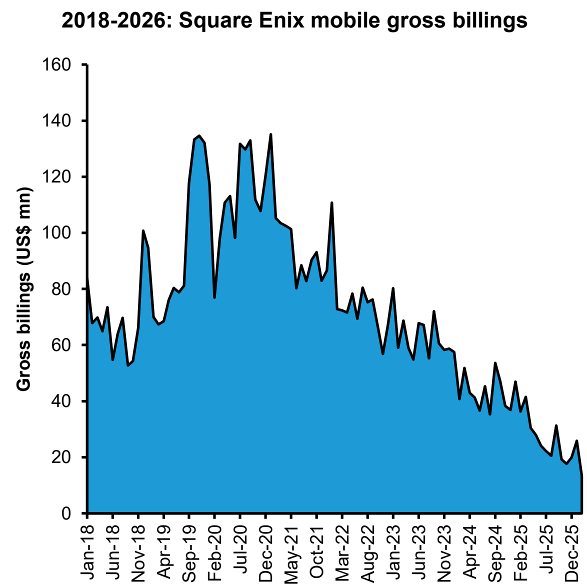
Source: Corporare reports, Bernstein estimates and analysis.

EXHIBIT 37: **MMO revenue was guided to grow in FY3/27E, helped by the Evercold expansion for Final Fantasy XIV**



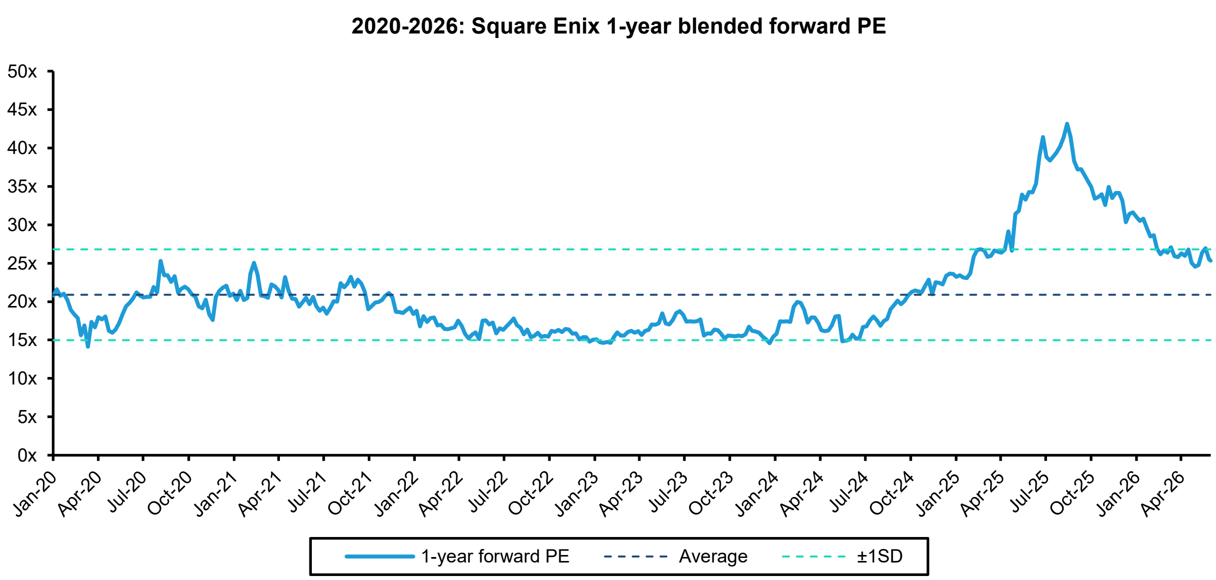
Source: Corporate reports, SteamDB, Bernstein estimates and analysis.

EXHIBIT 38: **Square Enix's upcoming mobile launches will be interesting to watch**



Source: Sensor Tower and Bernstein analysis.

EXHIBIT 39: **In a sector full of cheap stocks, it's still hard for us to call Square Enix's shares especially attractive, but the sense of stability at the company was encouraging**



Source: Corporate reports, Bloomberg, and Bernstein analysis.

EXHIBIT 40: **Square Enix: Summary of estimate changes**

Summary of estimate changes	FY3/27E	FY3/28E	FY3/29E
Revenue (JPY bn)			
Bernstein - old	**296**	**307**	**319**
Growth YoY	-0.6%	3.7%	3.8%
Bernstein	**308**	**320**	**348**
Growth YoY	3.5%	3.8%	8.9%
Consensus	**305**	**319**	**327**
Growth YoY	3.4%	4.6%	2.6%
Bernstein new vs. old	**4.1%**	**4.3%**	**9.3%**
Bernstein new vs. consensus	**1.0%**	**0.3%**	**6.5%**
Operating profit (JPY bn)			
Bernstein - old	**54**	**56**	**60**
Growth YoY	-5.0%	3.5%	7.4%
Margin	18.2%	18.1%	18.8%
Bernstein	**54**	**62**	**69**
Growth YoY	-4.9%	14.3%	11.6%
Margin	17.5%	19.2%	19.7%
Consensus	**51**	**53**	**58**
Growth YoY	-1.3%	4.8%	9.4%
Margin	16.6%	16.6%	17.8%
Bernstein new vs. old	**0.2%**	**10.6%**	**14.9%**
Bernstein new vs. consensus	**6.3%**	**15.9%**	**18.3%**
EPS (JPY)			
Bernstein - old	**107**	**110**	**118**
Growth YoY	21.3%	3.4%	7.2%
Bernstein	**107**	**122**	**136**
Growth YoY	21.4%	14.0%	11.4%
Consensus	**97**	**116**	**115**
Growth YoY	18.8%	19.7%	-0.9%
Bernstein new vs. old	**0.2%**	**10.4%**	**14.6%**
Bernstein new vs. consensus	**9.8%**	**4.6%**	**17.6%**

Source: Corporate reports, Bloomberg, Bernstein estimates and analysis.

BANDAI NAMCO: THE DIGITAL GUIDE CONTINUES TO WORRY US, BUT...

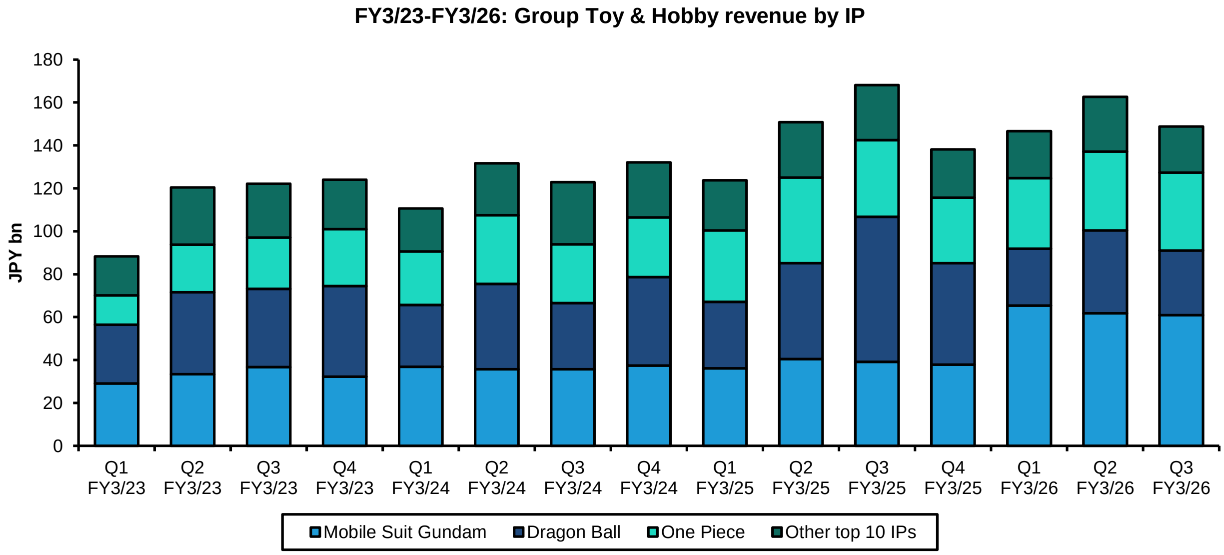
Our Bandai Namco view continues to be split between confidence that the Toy & Hobby segment will continue to surprise versus a deliberately conservative guide, and the Digital segment where the go-forward pipeline worries us. In our recent discussions, the company sounded confident on Toy & Hobby growth, and progress made in the core Gundam franchise. A "few billion yen" of headwinds from higher energy prices was said to have been embedded in the company's FY3/27E operating profit guidance (see Exhibit 41 and Exhibit 42).

On the flip side, with Dragon Ball Xenoverse 3 confirmed as a FY3/28E title, Bandai Namco's FY3/27E new game launch line-up consists of Ace Combat (2.8mn units expected) and The Blood of Dawnwalker as the clearest volume drivers. Bandai Namco's distribution of EA FC should see a bump during a World Cup year, but the margins on such sales are likely lower. Elden Ring and Nightreign repeat sales most likely decline year on year in FY3/27E. On the Network Content side, SD Gundam will likely see revenues decline year on year, which leaves the company's trio of Japan-only mobile game launches to pick up the slack within Network Content in FY3/27E.

Trading on c. 18x FY3/28E PE on our estimates for the company, Bandai Namco's forward multiples are back to range lows. In our recent discussions, the company's indifferent Digital segment performance has raised questions on whether the company should be valued more like a toy business, using Hasbro or Tomy as the more appropriate peer group. But even this (e.g. Hasbro has averaged 16-17x PE in the longer-term) only implies modest downside. Kadokawa's struggles related to self-publishing just might suggest all is not lost on the FromSoftware front going forward. On the other hand, it does feel somewhat notable that Toei Animation recently started an in-house studio focused on video game development.

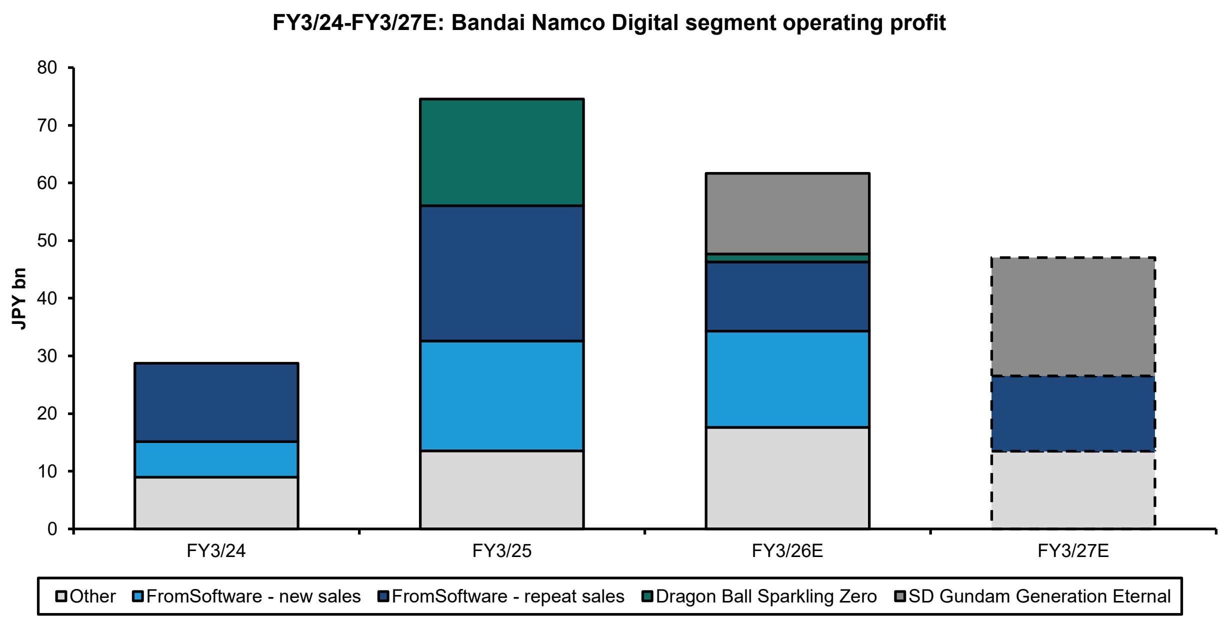
With this note we've made some minor adjustments to our Bandai Namco estimates (see Exhibit 43 and Exhibit 44).

EXHIBIT 41: **Our base case remains that growth in Bandai Namco's Toy & Hobby business tracks broader anime growth... around the 10% per annum range**



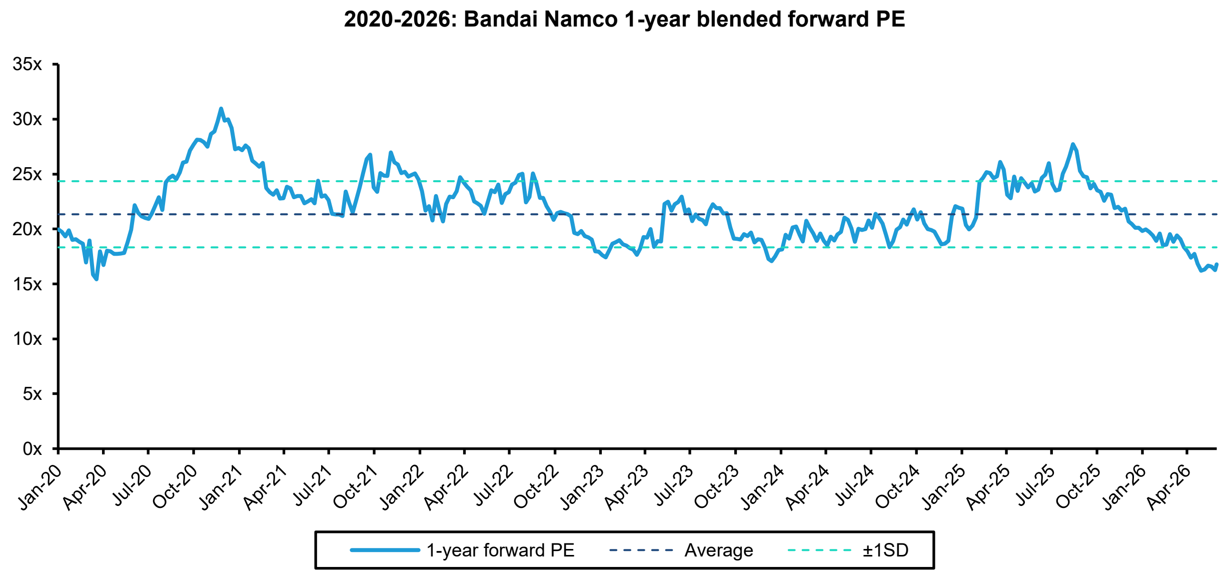
Source: Corporate reports and Bernstein analysis.

EXHIBIT 42: **The lack of FromSoftware games in 2026 and 2027 represents a headwind for Bandai Namco... can SD Gundam, repeat sales, Ace Combat 8, and Blood of Dawnwalker get us there?**



Source: Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 43: **Bandai Namco's forward PE multiple now stands almost one standard deviation below the mean since 2019, but the lack of an obvious catalyst remains an issue in our view**



Source: Corporate reports, Bloomberg, and Bernstein analysis.

EXHIBIT 44: **Bandai Namco: Summary of estimate changes**

Summary of estimate changes	FY3/27E	FY3/28E	FY3/29E
Revenue (JPY bn)			
Bernstein - old	**1,343**	**1,454**	**1,567**
Growth YoY	2.6%	8.3%	7.8%
Bernstein - new	**1,387**	**1,521**	**1,624**
Growth YoY	6.1%	9.7%	6.8%
Consensus	**1,365**	**1,432**	**1,541**
Growth YoY	4.5%	4.9%	7.7%
Bernstein new vs. old	**3.3%**	**4.6%**	**3.6%**
Bernstein new vs. consensus	**1.6%**	**6.2%**	**5.4%**
Operating profit (JPY bn)			
Bernstein - old	**181**	**196**	**213**
Growth YoY	-2.7%	8.5%	8.7%
Margin	13.5%	13.5%	13.6%
Bernstein - new	**182**	**199**	**212**
Growth YoY	-0.6%	8.8%	6.5%
Margin	13.2%	13.1%	13.0%
Consensus	**196**	**213**	**229**
Growth YoY	7.9%	8.8%	7.3%
Margin	14.4%	14.9%	14.9%
Bernstein new vs. old	**1.0%**	**1.3%**	**-0.7%**
Bernstein new vs. consensus	**-6.9%**	**-6.9%**	**-7.6%**
EPS (JPY)			
Bernstein - old	**204**	**221**	**240**
Growth YoY	-4.3%	8.2%	8.4%
Bernstein - new	**206**	**224**	**238**
Growth YoY	-0.6%	8.5%	6.3%
Consensus	**221**	**240**	**261**
Growth YoY	8.1%	8.4%	8.9%
Bernstein new vs. old	**0.9%**	**1.2%**	**-0.7%**
Bernstein new vs. consensus	**-6.7%**	**-6.7%**	**-8.9%**

Source: Bloomberg, Corporate reports, Bernstein estimates and analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 45: **Nintendo: Income Statement**

JPY mn	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Revenue	1,601,677	1,671,865	1,164,922	2,313,051	2,332,591	2,576,167	2,692,927
Gross profit	**885,440**	**954,335**	**710,168**	**908,957**	**1,007,233**	**1,147,393**	**1,292,599**
Advertising expenses	-94,984	-104,312	-86,575	-144,684	-137,980	-137,402	-170,720
R&D expenses	-110,015	-137,749	-143,788	-177,892	-190,344	-203,669	-217,925
Administrative expenses	-176,066	-183,333	-197,252	-226,263	-242,101	-259,049	-277,182
Operating profit	**504,375**	**528,941**	**282,553**	**360,118**	**436,808**	**547,274**	**626,772**
Ordinary profit	**601,070**	**680,497**	**372,316**	**542,196**	**567,169**	**685,384**	**775,078**
Profit before tax	600,757	680,722	372,331	568,194	567,169	685,384	775,078
Income tax expense	-167,957	-190,080	-93,479	-144,101	-158,807	-191,907	-217,022
Earnings attributable to shareholders	**432,768**	**490,602**	**278,806**	**424,057**	**408,362**	**493,476**	**558,056**
Earnings per share	**371.41**	**421.39**	**239.47**	**364.51**	**350.74**	**423.85**	**479.32**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 46: **Nintendo: Cash Flow Statement**

JPY mn	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Profit before tax	600,757	680,722	372,331	568,194	567,169	685,384	775,078
Depreciation & amortization	11,040	17,856	15,361	15,854	18,931	19,964	21,152
Changes in working capital	-15,508	62,062	-200,201	-43,185	49,634	-35,381	-13,516
Other	-273,446	-298,541	-175,423	-251,068	-230,807	-271,907	-305,022
Cash flow from operations	**322,843**	**462,099**	**12,068**	**289,795**	**404,927**	**398,059**	**477,692**
Capex	-22,190	-16,123	-19,008	-27,169	-28,326	-30,762	-31,929
Other	133,697	-614,509	772,073	-182,886	0	0	0
Cash flow from investments	**111,507**	**-630,632**	**753,065**	**-210,055**	**-28,326**	**-30,762**	**-31,929**
Cash flow from financing	**-290,973**	**-236,957**	**-195,125**	**-249,713**	**-245,017**	**-296,086**	**-334,834**
Net effect of FX changes	28,474	64,356	-9,317	72,538	0	0	0
Net change in cash	**171,851**	**-341,136**	**560,689**	**-97,441**	**131,584**	**71,212**	**110,929**
Beginning cash	1,022,718	1,194,569	853,433	1,414,122	1,316,681	1,448,265	1,519,477
Ending cash	**1,194,569**	**853,433**	**1,414,122**	**1,316,681**	**1,448,265**	**1,519,477**	**1,630,406**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 47: **Nintendo: Balance Sheet**

JPY mn	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Cash and deposits	1,263,666	1,484,350	1,586,275	1,791,802	1,923,387	1,994,599	2,105,528
Notes and trade receivables	119,932	93,608	65,180	147,485	191,720	211,161	221,336
Securities	615,699	768,355	471,915	425,054	446,307	468,622	492,053
Inventories	258,628	155,987	486,428	539,804	472,045	507,488	498,747
Other current assets	56,587	71,001	142,551	105,638	106,530	117,655	122,987
Total current asset	**2,314,513**	**2,573,301**	**2,752,349**	**3,009,783**	**3,139,989**	**3,299,524**	**3,440,652**
Property, plant & equipment, net	99,509	108,518	112,612	127,450	135,845	145,643	155,420
Investment securities	276,253	290,620	369,373	420,875	492,875	572,875	660,875
Other non-current assets	164,008	178,954	164,178	247,203	258,331	269,965	282,131
Total assets	**2,854,283**	**3,151,393**	**3,398,512**	**3,805,311**	**4,027,040**	**4,288,007**	**4,539,078**
Notes and trade payables	149,217	58,084	201,091	236,082	272,334	292,781	287,739
Other current liabilities	384,263	421,192	396,553	524,063	545,434	579,088	607,437
Total current liabilities	**533,480**	**479,276**	**597,644**	**760,145**	**817,768**	**871,869**	**895,175**
Non-current liabilities	54,337	67,120	75,421	89,983	90,743	100,219	104,761
Total liabilities	**587,818**	**546,396**	**673,065**	**850,128**	**908,511**	**972,088**	**999,936**
Total net assets	**2,266,466**	**2,604,997**	**2,725,445**	**2,955,177**	**3,118,522**	**3,315,912**	**3,539,135**
Total liabilities & net assets	**2,854,283**	**3,151,393**	**3,398,510**	**3,805,305**	**4,027,033**	**4,288,000**	**4,539,071**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 48: **Konami: Income Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26E	FY3/27E	FY3/28E	FY3/29E
Net sales	**314,321**	**360,314**	**421,602**	**493,677**	**539,451**	**570,954**	**592,377**
Cost of sales	-191,930	-200,277	-222,681	-250,498	-266,618	-276,879	-282,099
Gross profit	**122,391**	**160,037**	**198,921**	**243,179**	**272,832**	**294,075**	**310,279**
Selling, general & administrative expenses	76,206	79,775	96,977	107,288	105,866	101,525	96,502
Operating profit	**46,185**	**80,262**	**101,944**	**135,891**	**166,966**	**192,550**	**213,777**
Profit before tax	**47,120**	**82,685**	**104,008**	**140,667**	**168,726**	**194,310**	**215,537**
Total income taxes	12,225	23,513	29,316	40,654	47,243	54,407	60,350
Profit after tax	**34,895**	**59,172**	**74,692**	**100,013**	**121,483**	**139,903**	**155,186**
Earnings attributable to shareholders	**34,895**	**59,171**	**74,692**	**100,013**	**121,483**	**139,903**	**155,186**
Earnings per share	**257.48**	**436.50**	**551.00**	**737.79**	**896.16**	**1,032.05**	**1,144.79**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 49: **Konami: Cash Flow Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Net income before income taxes	**34,895**	**59,172**	**74,692**	**100,013**	**121,483**	**139,903**	**155,186**
Depreciation & amortisation	23,845	23,267	28,488	34,190	30,370	32,642	34,985
Interest income/expense, net	15,735	26,574	28,242	38,647	45,483	52,647	58,590
Net change in working capital	-12,389	1,038	-207	-9,893	5,487	2,446	1,273
Other	-25,988	-6,990	-16,595	-27,293	-45,883	-53,047	-58,990
Net cash from operating activities	**36,098**	**103,061**	**114,620**	**135,664**	**156,939**	**174,591**	**191,045**
Capex	-43,779	-29,316	-66,862	-55,680	-48,551	-51,386	-53,314
Payments for intangible assets	-98	-192	-1,288	-461	0	0	0
Other	1,091	292	265	818	0	0	0
Net cash from investing activities	**-42,786**	**-29,216**	**-67,885**	**-55,323**	**-48,551**	**-51,386**	**-53,314**
Net cash from financing activities	**-27,467**	**-24,199**	**-25,784**	**-51,897**	**-36,445**	**-41,971**	**-46,556**
Effect of FX changes	2,707	4,838	-482	4,904	0	0	0
Net change in cash and equivalents	**-31,448**	**54,484**	**20,469**	**33,348**	**71,944**	**81,234**	**91,175**
Period beginning cash and equivalents	250,711	219,263	273,747	294,216	327,564	399,508	480,742
Period end cash and equivalents	**219,263**	**273,747**	**294,216**	**327,564**	**399,508**	**480,742**	**571,917**
Free cash flow	**-7,779**	**73,553**	**46,470**	**79,523**	**108,389**	**123,205**	**137,731**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 50: **Konami: Balance Sheet**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Cash and cash equivalents	219,263	273,747	294,216	327,564	399,508	480,742	571,917
Trade and other receivables	39,276	43,887	47,220	60,023	66,508	70,199	73,033
Inventories	12,705	13,764	12,108	18,968	18,262	18,912	19,322
Other current assets	18,797	12,462	13,292	17,959	19,624	20,770	21,550
Total current assets	290,041	343,860	366,836	424,514	503,901	590,624	685,821
Property, plant and equipment, net	155,788	154,454	163,617	187,186	205,367	224,111	242,440
Other non-current assets	101,394	107,536	134,587	137,065	137,465	137,865	138,265
Total assets	**547,223**	**605,850**	**665,040**	**748,765**	**846,733**	**952,600**	**1,066,526**
Trade and other payables	37,558	44,257	45,406	50,545	54,785	56,737	57,965
Other current liabilities	37,536	41,669	70,908	67,865	74,157	78,488	81,433
Total current liabilities	75,094	85,926	116,314	118,410	128,942	135,226	139,399
Long-term borrowings	59,819	59,862	39,911	39,936	39,936	39,936	39,936
Other current liabilities	36,031	32,684	26,947	25,866	28,264	29,915	31,037
Total liabilities	**170,944**	**178,472**	**183,172**	**184,212**	**197,142**	**205,077**	**210,372**
Total net assets	**376,279**	**427,378**	**481,868**	**564,553**	**649,591**	**747,523**	**856,154**
Total liabilities & net assets	**547,223**	**605,850**	**665,040**	**748,765**	**846,733**	**952,600**	**1,066,526**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 51: **Capcom: Income Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Net sales	**125,930**	**152,410**	**169,604**	**195,365**	**210,035**	**226,073**	**236,449**
Cost of sales	-52,110	-67,755	-70,846	-85,147	-86,964	-90,947	-90,035
Gross profit	**73,820**	**84,655**	**98,758**	**110,218**	**123,071**	**135,125**	**146,414**
Selling, general & administrative expenses	23,006	27,572	32,980	34,923	37,455	37,878	39,198
Operating profit	**50,814**	**57,083**	**65,778**	**75,295**	**85,616**	**97,248**	**107,215**
Total non-operating income/expenses	-557	-2,340	142	1,161	-1,140	-1,140	-1,140
Ordinary profit	**51,371**	**59,423**	**65,636**	**74,134**	**86,756**	**98,388**	**108,355**
Total extraordinary income/loss	225	139	-16	200	0	0	0
Profit before tax	**51,146**	**59,284**	**65,652**	**73,934**	**86,756**	**98,388**	**108,355**
Total income taxes	14,406	15,908	17,205	19,314	22,557	25,581	28,172
Profit after tax	**36,740**	**43,376**	**48,447**	**54,620**	**64,200**	**72,807**	**80,183**
Earnings attributable to shareholders	**36,740**	**43,376**	**48,454**	**54,589**	**64,200**	**72,807**	**80,183**
Earnings per share	**174.73**	**103.71**	**115.85**	**130.50**	**153.47**	**174.04**	**191.68**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 52: **Capcom: Cash Flow Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26E	FY3/27E	FY3/28E	FY3/29E
Net income before income taxes	**51,146**	**59,284**	**65,652**	**73,934**	**86,756**	**98,388**	**108,355**
Depreciation & amortisation	3,438	4,221	4,675	5,200	5,493	5,646	5,786
Interest income/expense, net	-376	-1,126	-1,039	-1,489	-1,140	-1,140	-1,140
Net change in working capital & other	-32,416	-25,454	-1,669	-46,267	-19,683	-33,480	-40,278
Net cash from operating activities	**21,792**	**36,925**	**67,619**	**31,378**	**71,427**	**69,413**	**72,723**
Payments for acquisitions of tangible assets	-7,103	-4,838	-5,846	-13,593	-6,208	-6,281	-6,141
Other	-576	-1,123	-1,427	-42,269	-300	-300	-300
Net cash from investing activities	**-7,679**	**-5,961**	**-7,273**	**-55,862**	**-6,508**	**-6,581**	**-6,441**
Net cash from financing activities	**-22,483**	**-15,969**	**-18,735**	**-26,067**	**-21,648**	**-24,896**	**-28,630**
Effect of FX changes on cash and equivalents	2,209	4,631	-274	2,958	0	0	0
Net change in cash and equivalents	**-6,161**	**19,626**	**41,337**	**-47,593**	**43,271**	**37,936**	**37,652**
Period beginning cash and equivalents	95,635	89,474	109,100	150,437	102,844	146,115	184,051
Period end cash and equivalents	**89,474**	**109,100**	**150,437**	**102,844**	**146,115**	**184,051**	**221,703**
Free cash flow	**14,377**	**31,790**	**61,342**	**17,080**	**64,919**	**62,832**	**66,282**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 53: **Capcom: Balance Sheet**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Cash and time deposits	102,116	125,191	166,783	148,002	191,273	229,209	266,861
Trade receivables and contract assets	25,097	25,383	33,341	33,283	40,281	43,238	45,346
Work in progress for game software	38,510	39,035	49,209	54,628	60,628	66,628	77,628
Other current assets	5,675	8,215	12,749	22,024	10,598	11,248	11,499
Total current assets	171,398	197,824	262,082	257,937	302,779	350,322	401,335
Total tangible fixed assets	27,945	30,468	33,554	45,305	35,917	36,721	37,291
Intangible assets	1,630	1,444	1,436	1,600	1,720	1,851	1,936
Other non-current assets	16,387	13,737	15,907	34,460	37,048	39,876	41,707
Total assets	**217,360**	**243,473**	**312,979**	**339,302**	**377,464**	**428,772**	**482,269**
Trade payables	3,357	2,603	3,117	4,082	7,148	7,455	7,400
Short-term borrowings	7,217	4,217	3,591	0	0	0	0
Other current liabilities	35,466	26,390	62,766	52,172	54,998	58,088	60,088
Total current liabilities	46,040	33,210	69,474	56,254	62,146	65,543	67,488
Long-term borrowings	626	3,000	3,000	0	0	0	0
Other current liabilities	9,563	12,178	14,196	15,331	15,331	15,331	15,331
Total liabilities	**56,229**	**48,388**	**86,670**	**71,585**	**77,477**	**80,874**	**82,819**
Total net assets	**161,129**	**195,082**	**226,303**	**267,713**	**310,264**	**358,176**	**409,729**
Total liabilities & net assets	**217,358**	**243,470**	**312,973**	**339,298**	**387,742**	**439,050**	**492,547**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 54: **Bandai Namco: Income Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Net sales	**990,089**	**1,050,210**	**1,241,513**	**1,348,246**	**1,386,515**	**1,520,511**	**1,624,236**
Cost of sales	-621,433	-679,251	-746,327	-817,074	-834,275	-910,177	-971,389
Gross profit	**368,656**	**370,959**	**495,186**	**531,172**	**552,239**	**610,333**	**652,847**
Selling, general & administrative expenses	-252,183	-280,277	-314,956	-341,654	-369,768	-411,753	-441,298
Operating profit	**116,473**	**90,682**	**180,230**	**189,518**	**182,471**	**198,580**	**211,549**
Total non-operating income/expenses	11,533	13,482	6,240	12,405	10,000	10,000	10,000
Ordinary profit	**128,006**	**104,164**	**186,470**	**201,923**	**192,471**	**208,580**	**221,549**
Total extraordinary income/loss	-1,791	42,476	-2,349	-4,225	-3,000	-3,000	-3,000
Profit before tax	**126,215**	**146,640**	**184,121**	**197,698**	**189,471**	**205,580**	**218,549**
Total income taxes	-35,870	-45,125	-54,764	-56,773	-55,894	-60,646	-64,472
Profit after tax	**90,345**	**101,515**	**129,357**	**140,925**	**133,577**	**144,934**	**154,077**
Earnings attributable to shareholders	**90,345**	**101,493**	**129,300**	**140,649**	**133,577**	**144,934**	**154,077**
Earnings per share	**136.88**	**153.85**	**197.87**	**217.49**	**206.36**	**223.90**	**238.03**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 55: **Bandai Namco: Cash Flow Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Net income before income taxes	**126,215**	**146,640**	**184,120**	**197,697**	**189,471**	**205,580**	**218,549**
Depreciation & amortisation	28,671	38,364	40,216	47,204	30,918	31,606	32,230
Amortisation of goodwill	2,431	2,676	2,618	2,355	0	0	0
Interest income/expense, net	-2,307	-4,010	-4,341	-4,495	-4,200	-4,150	-4,100
Net change in working capital	-10,692	-10,593	-2,497	-12,560	763	-14,053	-16,124
Other	-48,690	-84,170	-32,784	-65,485	-51,694	-56,496	-60,372
Net cash from operating activities	**95,628**	**88,907**	**187,332**	**164,716**	**165,258**	**162,487**	**170,183**
Purchases of property, plant & equipment	-25,376	-24,699	-33,554	-35,811	-22,000	-22,000	-22,000
Payments for acquisitions of intangible asset	-8,431	-10,210	-8,882	-10,010	-6,000	-6,000	-6,000
Other	-7,069	45,047	-19,569	4,690	0	0	0
Net cash from investing activities	**-40,876**	**10,138**	**-62,005**	**-41,131**	**-28,000**	**-28,000**	**-28,000**
Net cash from financing activities	**-59,523**	**-75,236**	**-77,345**	**-82,963**	**-44,835**	**-48,647**	**-51,715**
Effect of FX changes	3,174	11,170	1,711	10,856	0	0	0
Net change in cash and equivalents	**-1,597**	**34,979**	**49,693**	**51,478**	**92,423**	**85,840**	**90,467**
Period beginning cash and equivalents	277,891	276,294	311,273	360,966	412,444	504,867	590,707
Period end cash and equivalents	**276,294**	**311,273**	**360,966**	**412,444**	**504,867**	**590,707**	**681,174**
Free cash flow	**61,821**	**53,998**	**144,896**	**118,895**	**137,258**	**134,487**	**142,183**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 56: **Bandai Namco: Balance Sheet**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Cash and time deposits	280,226	321,868	388,460	433,262	525,685	611,525	701,992
Trade receivables and contract assets	99,007	118,190	123,998	146,181	136,752	149,558	160,199
Finished goods and merchandise	41,324	40,170	43,375	55,507	54,856	59,684	63,872
Work in progress	104,835	92,665	77,501	64,616	103,501	116,501	129,501
Other current assets	67,243	69,728	71,607	81,333	83,642	91,725	97,982
Total current assets	592,635	642,621	704,941	780,899	904,436	1,028,993	1,153,546
Property, plant & equipment	107,458	118,636	139,127	152,933	154,493	161,044	166,939
Intangible assets	36,183	32,176	31,226	27,426	30,785	30,628	30,502
Other non-current assets	190,078	178,403	227,340	229,231	229,231	229,231	229,231
Total assets	**926,354**	**971,836**	**1,102,634**	**1,190,489**	**1,318,945**	**1,449,895**	**1,580,218**
Trade payables	99,244	99,254	98,068	101,717	137,141	149,209	159,680
Short-term borrowings	10,770	0	0	0	0	0	0
Other current liabilities	137,304	144,863	180,539	191,582	197,020	216,060	230,799
Total current liabilities	247,318	244,117	278,607	293,299	334,161	365,270	390,480
Long-term borrowings	0	0	0	0	0	0	0
Other current liabilities	26,899	27,894	30,807	35,768	36,783	40,338	43,090
Total liabilities	**274,217**	**272,011**	**309,414**	**329,067**	**370,944**	**405,608**	**433,570**
Total net assets	**652,132**	**699,822**	**793,215**	**861,422**	**950,164**	**1,046,452**	**1,148,813**
Total liabilities & net assets	**926,349**	**971,833**	**1,102,629**	**1,190,489**	**1,321,109**	**1,452,059**	**1,582,382**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 57: **Nexon: Income statement**

JPY million	2022	2023	2024	2025	2026E	2027E	2028E
Net sales	**353,714**	**423,356**	**446,211**	**475,102**	**485,439**	**493,142**	**501,517**
Cost of sales	-105,778	-137,938	-164,838	-193,088	-189,945	-190,730	-197,457
Gross profit	**247,936**	**285,418**	**281,373**	**282,014**	**295,494**	**302,412**	**304,060**
Selling, general & administrative expenses	144,240	150,673	157,197	158,002	170,792	175,872	177,732
Operating profit	**103,696**	**134,745**	**124,176**	**124,012**	**124,703**	**126,540**	**126,328**
Total non-operating income/expenses	-36,829	8,816	-71,811	-16,439	-47,067	-40,000	-40,000
Ordinary profit	**140,525**	**125,929**	**195,987**	**140,451**	**171,770**	**166,540**	**166,328**
Total extraordinary income/loss	0	0	0	0	0	0	0
Profit before tax	**140,525**	**125,929**	**195,987**	**140,451**	**171,770**	**166,540**	**166,328**
Total income taxes	40,535	54,845	59,771	50,752	47,818	49,962	49,899
Profit after tax	**99,990**	**71,084**	**136,216**	**89,699**	**123,952**	**116,578**	**116,430**
Earnings attributable to shareholders	**100,339**	**70,609**	**134,848**	**92,052**	**124,426**	**115,928**	**115,780**
Earnings per share	**113.81**	**82.33**	**160.90**	**114.12**	**156.63**	**146.09**	**146.04**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 58: **Nexon: Cash flow statement**

JPY million	2022	2023	2024	2025	2026E	2027E	2028E
Net income before income taxes	**140,525**	**125,929**	**195,987**	**140,451**	**171,770**	**166,540**	**166,328**
Depreciation & amortisation	6,767	8,598	10,142	11,409	11,408	10,583	9,945
Interest income/expense, net	-12,398	-23,211	-21,927	-19,940	-51,755	-44,000	-44,000
Net change in working capital	8,621	14,268	-51,530	61,987	-16,161	-103	1,027
Other	-13,371	3,128	-31,704	-22,035	8,625	-1,962	-1,899
Net cash from operating activities	**130,144**	**128,712**	**100,968**	**171,872**	**123,886**	**131,057**	**131,403**
Payments for acquisitions of tangible assets	-2,801	-3,407	-3,639	-7,934	-6,085	-6,182	-6,287
Payments for acquisitions of intangible assets	-3,101	-2,306	-4,047	-1,560	-1,196	-1,215	-1,236
Other	-5,016	-182,654	15,131	111,741	0	0	0
Net cash from investing activities	**-10,918**	**-188,367**	**7,445**	**102,247**	**-7,282**	**-7,397**	**-7,523**
Net cash from financing activities	**-105,859**	**-78,554**	**-64,777**	**-118,688**	**-52,329**	**-47,980**	**-47,945**
Effect of FX changes on cash and equivalents	30,762	9,356	7,780	11,506	0	0	0
Net change in cash and equivalents	**44,129**	**-128,853**	**51,416**	**166,937**	**64,275**	**75,680**	**75,935**
Period beginning cash and equivalents	365,240	409,369	280,516	331,932	498,869	563,144	638,824
Period end cash and equivalents	**409,369**	**280,516**	**331,932**	**498,869**	**563,144**	**638,824**	**714,759**
Free cash flow	**124,362**	**123,040**	**93,418**	**162,465**	**116,604**	**123,660**	**123,880**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 59: **Nexon: Balance sheet**

JPY million	2022	2023	2024	2025	2026E	2027E	2028E
Cash and cash equivalents	571,858	596,758	600,865	841,107	905,382	981,062	1,056,997
Trade receivables and contract assets	30,444	37,873	88,717	86,295	93,098	94,575	95,919
Other current assets	39,727	54,875	62,691	64,444	65,846	66,891	68,027
Total current assets	642,029	689,506	752,273	991,846	1,064,326	1,142,529	1,220,943
Property, plant and equipment	26,885	28,854	28,365	32,928	15,409	11,628	8,559
Intangible assets	9,655	17,847	34,815	36,705	37,504	38,099	38,746
Right-of-use assets	83,595	58,120	63,669	63,740	63,740	63,740	63,740
Other	280,685	303,776	377,649	284,969	286,065	286,882	287,769
Total assets	**1,042,849**	**1,098,103**	**1,256,771**	**1,410,188**	**1,467,044**	**1,542,877**	**1,619,757**
Trade payables	14,705	16,332	15,651	42,253	31,224	31,353	32,370
Deferred income	18,942	21,065	23,861	55,437	56,643	57,542	58,519
Other current liabilities	49,487	51,977	68,150	125,605	128,338	130,374	132,588
Non-current liabilities	92,169	102,154	118,584	120,975	123,607	125,569	127,701
Total liabilities	**175,303**	**191,528**	**226,246**	**344,270**	**339,812**	**344,838**	**351,179**
Total net assets	**867,546**	**906,575**	**1,030,525**	**1,065,918**	**1,127,232**	**1,198,039**	**1,268,578**
Total liabilities & net assets	**1,042,849**	**1,098,103**	**1,256,771**	**1,410,188**	**1,467,044**	**1,542,877**	**1,619,757**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 60: **Square Enix: Income Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Net sales	**343,267**	**356,344**	**324,506**	**297,661**	**308,322**	**320,148**	**348,489**
Cost of sales	-167,377	-188,975	-161,840	-138,712	-159,970	-159,838	-173,880
Gross profit	**175,890**	**167,369**	**162,666**	**158,949**	**148,352**	**160,310**	**174,610**
Selling, general and administrative expenses	-131,557	-134,810	-122,085	-104,213	-94,465	-98,720	-105,870
Operating profit	**44,333**	**32,559**	**40,581**	**54,736**	**53,887**	**61,590**	**68,739**
Non-operating income/expenses	10,378	8,983	359	9,734	2,000	2,000	2,000
Ordinary income	**54,711**	**41,542**	**40,940**	**64,470**	**55,887**	**63,590**	**70,739**
Extraordinary gain/loss, net	3,721	-23,606	-1,396	-14,114	-800	-800	-800
Profit before income taxes	**58,432**	**17,936**	**39,544**	**50,356**	**55,087**	**62,790**	**69,939**
Income tax expenses	-9,143	-3,001	-15,101	-20,709	-16,526	-18,837	-20,982
Net profit	**49,289**	**14,935**	**24,443**	**29,647**	**38,561**	**43,953**	**48,958**
Earnings attributable to shareholders	**49,264**	**14,912**	**24,417**	**29,617**	**38,561**	**43,953**	**48,958**
Earnings per share	**410.93**	**124.30**	**67.79**	**82.08**	**106.81**	**121.75**	**135.62**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 61: **Square Enix: Cash Flow Statement**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Profit before income taxes	**58,431**	**17,936**	**39,544**	**50,356**	**55,087**	**62,790**	**69,939**
Depreciation and amortization	6,921	7,557	8,463	8,686	10,029	10,464	10,898
Interest income/expenses, net	-643	-1,363	-3,474	-2,744	0	0	0
Changes in net working capital	-15,586	20,465	2,470	-9,289	-10,855	-12,474	-10,975
Other	-36,895	7,635	-4,216	4,572	-16,090	-18,353	-19,823
Net cash from operating activities	**12,228**	**52,230**	**42,787**	**51,581**	**38,171**	**42,427**	**50,040**
Purchases of property and equipment	-5,676	-9,285	-10,870	-6,245	-10,328	-10,724	-11,673
Purchase of intangible assets	-2,873	-1,162	-1,203	-1,150	-1,143	-1,187	-1,292
Other	36,155	-2,766	-3,042	1,184	0	0	0
Net cash from investing activities	**27,606**	**-13,213**	**-15,115**	**-6,211**	**-11,471**	**-11,911**	**-12,965**
Net cash from financing activities	**-15,523**	**-14,786**	**-6,599**	**-18,429**	**-11,558**	**-13,174**	**-14,674**
Effect of FX changes	5,975	8,029	-637	5,240	0	0	0
Net change in cash and equivalents	**30,286**	**32,260**	**20,436**	**32,181**	**15,142**	**17,342**	**22,400**
Period beginning cash and equivalents	160,628	190,914	223,185	243,621	275,802	290,945	308,286
Period end cash and equivalents	**190,914**	**223,185**	**243,621**	**275,802**	**290,945**	**308,286**	**330,687**
Free cash flow	**3,679**	**41,783**	**30,714**	**44,186**	**26,700**	**30,516**	**37,075**

Source: Corporate reports, Bernstein estimates and analysis.

EXHIBIT 62: **Square Enix: Balance Sheet**

JPY million	FY3/23	FY3/24	FY3/25	FY3/26	FY3/27E	FY3/28E	FY3/29E
Cash and deposits	193,501	225,901	247,760	276,054	291,196	308,538	330,938
Notes and accounts receivable	39,908	44,683	33,175	30,482	35,478	36,738	40,100
Content production account	87,217	48,577	46,936	46,258	57,032	68,383	78,494
Other	21,629	20,057	16,644	15,599	16,158	16,777	18,263
Total current assets	**342,255**	**339,218**	**344,515**	**368,393**	**399,864**	**430,437**	**467,795**
Property and equipment	17,743	23,075	27,829	27,409	30,944	32,385	34,343
Other	39,631	48,579	43,814	42,214	44,042	45,555	49,279
Total assets	**399,629**	**410,872**	**416,158**	**438,016**	**474,849**	**508,377**	**551,417**
Notes and accounts payable	23,558	24,384	17,439	17,192	21,914	21,836	23,819
Other	48,144	57,173	49,918	57,536	59,580	61,848	67,282
Non-current liabilities	10,661	12,186	12,430	14,061	14,565	15,123	16,462
Total liabilities	**82,363**	**93,743**	**79,787**	**88,789**	**96,059**	**98,807**	**107,564**
Total net assets	**317,265**	**317,138**	**336,367**	**349,222**	**376,225**	**407,004**	**441,287**
Total liabilities and net assets	**399,628**	**410,881**	**416,154**	**438,011**	**472,284**	**505,811**	**548,851**

Source: Corporate reports, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY

Nintendo Co Ltd

We value Nintendo at JPY10,300 on 25x multiple of FY+1 (i.e. quarters 5-8) EPS.

Konami Group Corporation

We value Konami at JPY26,800 per share, on a 26x P/E multiple of FY+1 (i.e. quarters 5-8) EPS.

Capcom Co Ltd

We value Capcom at JPY4,600 per share, on a 26x P/E multiple of FY+1 (i.e. quarters 5-8) EPS.

Bandai Namco Holdings Inc

We value Bandai Namco at JPY4,700 per share, on a 21x multiple of FY+1 (i.e. quarters 5-8) EPS.

Nexon Co Ltd

We value Nexon at JPY3,000 per share, on a 20x multiple of FY+1 (i.e. quarters 5-8) EPS.

Square Enix Holdings Co Ltd.

We value Square Enix at JPY2,550 per share, on a 21x multiple of FY+1 (i.e. quarters 5-8) EPS

RISKS

Nintendo Co Ltd

The main downside risks to our views on Nintendo include (1) execution around the Switch 2 ramp; (2) the market reaction to new game launches - driving software tie ratios on the Switch 2; and (3) operating leverage more broadly - including any impact from volatility in the JPY. Extreme macro or trade related headwinds are lower-probability risks to remain mindful of.

Konami Group Corporation

The main downside risks to our view on Konami and price target relate to (1) the success of key live service franchises like eFootball, baseball , Yu-Gi-Oh!; (2) the success or failure of single title launches; and (3) broader operating leverage. and future game releases. In the event of a severe macro slowdown, there may also be some downside risk to consumer appetite for video gaming.

Capcom Co Ltd

The main downside risks specific to our price target on Capcom relate to (1) the timing and success or failure of new game launches; (2) the company's focus around maintaining high levels of legacy game sales volumes; and (3) broader operating leverage - including any impact from volatility in the JPY. In the event of a severe macro slowdown, there may also be some downside risk to consumer appetite for video gaming.

Bandai Namco Holdings Inc

Aside from the success or failure of individual new launches, the main downside risks specific to our views on Bandai Namco include (1) potential impact a macro slowdown could have on Toy & Hobby revenue growth; (2) the impact of higher oil prices on Toy & Hobby input costs and margins; and (3) competition for the publishing rights to games from top developers (e.g. FromSoftware).

The main upside risks specific to our views on Bandai Namco include (1) higher-than-expected Toy & Hobby revenue growth; (2) the potential impact of lower oil prices on Toy & Hobby input costs and margins; and (3) higher-than-expected sales from the Digital segment.

Nexon Co Ltd

The main downside risks associated with Nexon's business relate to (1) key live service franchises like MapleStory, DNF, and FC in Korea; (2) the success or failure of new game launches; and (3) the company's large exposure to China royalty revenues from Tencent, where the latter maintains a large influence in live operations.

Square Enix Holdings Co Ltd.

The main upside risks to our view on Square Enix and price target relate to (1) the success of key IP franchises like Final Fantasy, Dragon Quest; (2) cost reductions such those supported as the company's attempts to drive off-platform monetisation in mobile; and (3) possible M&A. The main downside risks relate to product failure and cost overruns related to new game launches.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 500 Banks And Financial Services Index (BEBANKS) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 500 Insurance Index (BEINSUR) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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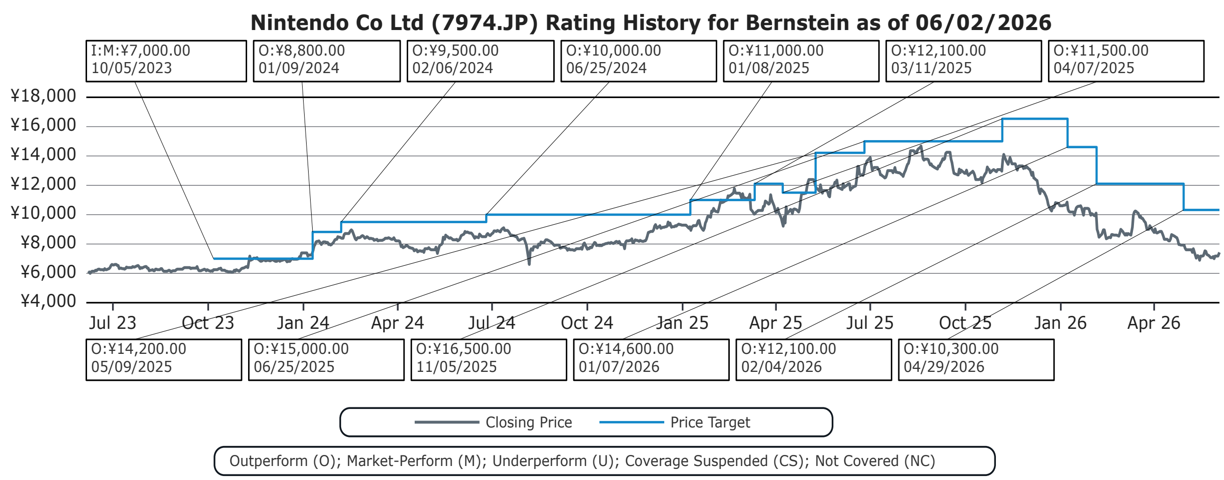

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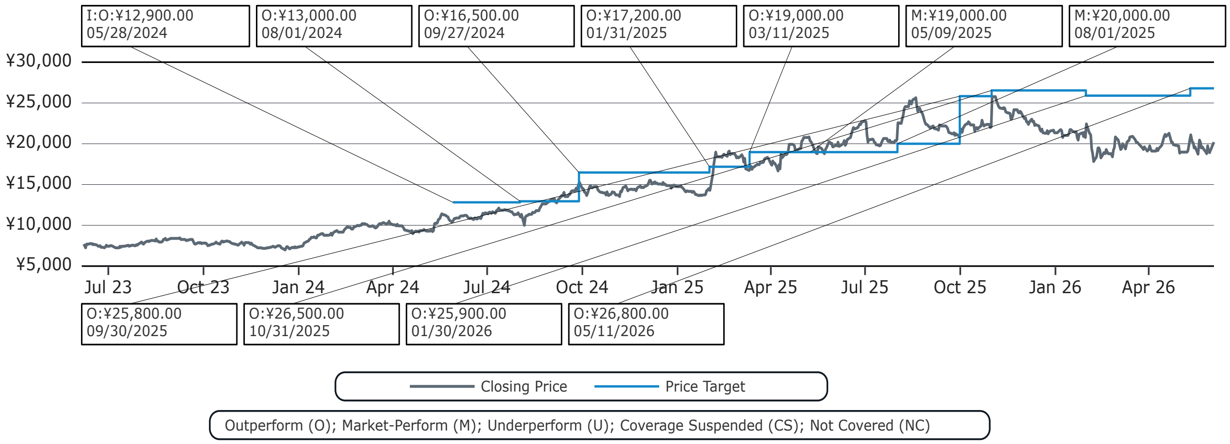

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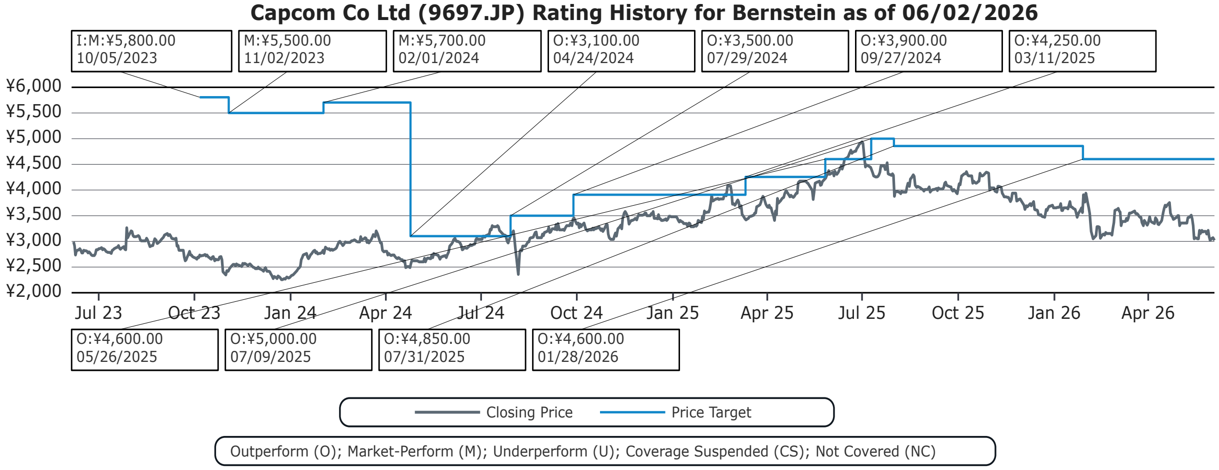

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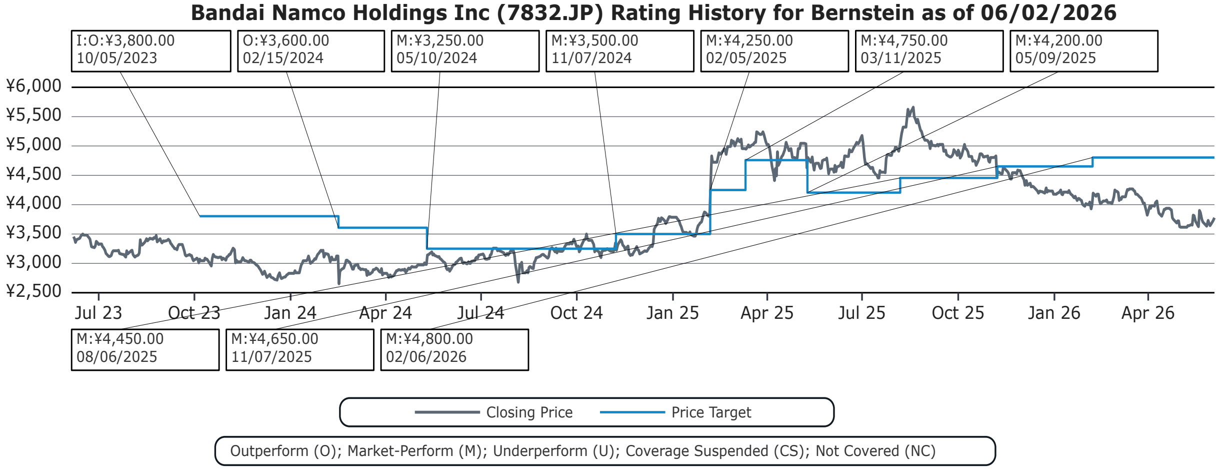

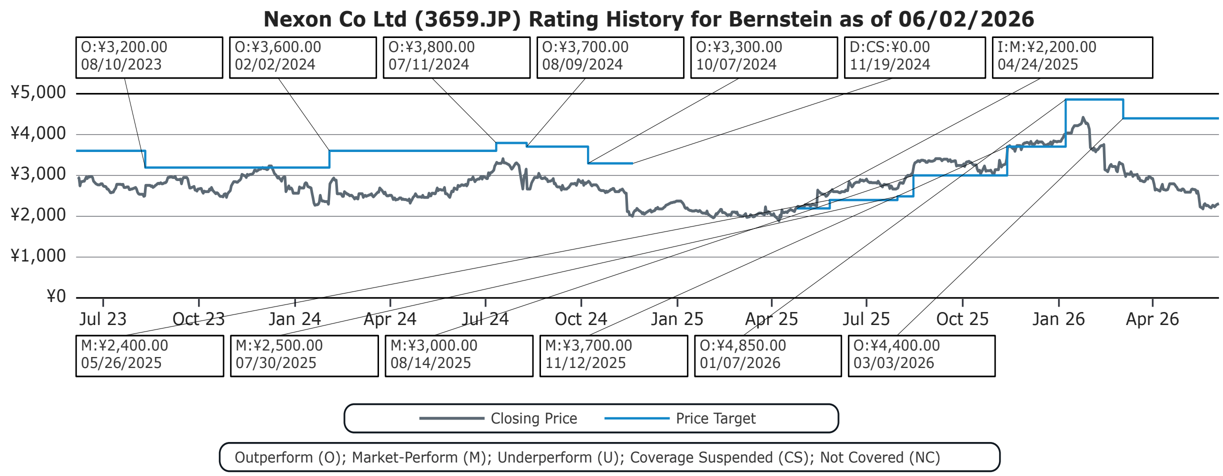

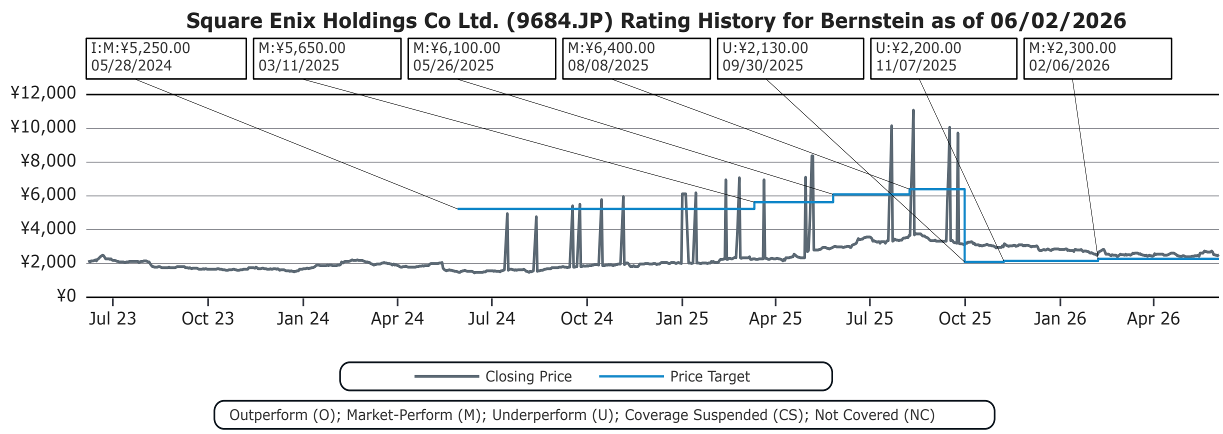

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